



Lessons 3 & 4

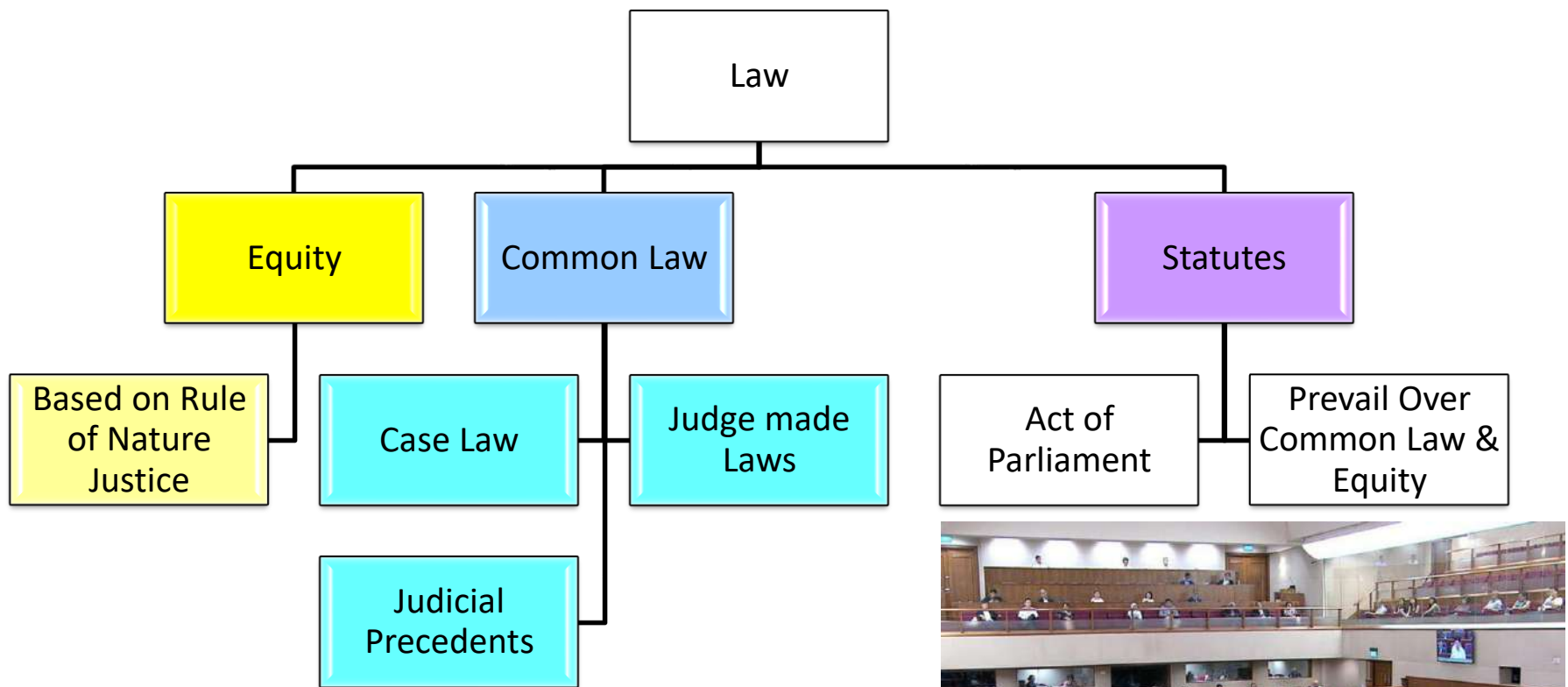
1. Basic Land Laws Concepts
2. Real Property vs Personal Property
3. Proprietary Right vs Personal Right
4. Fixtures
5. Estate in Lands

SEAA has made reasonable efforts to ensure all information provided in the notes is accurate at the time of print. Do be informed this standard set of course material you have received is provided for all students attending our intakes.

* For online Zoom lessons, trainers may have their own additional slides on top of the given set for further illustration to students to aid them in their online lesson. Students will be responsible to write down, screenshot or take pictures of those additional slides/notes on their own. Those additional slides/notes will not be provided by SEAA.*

Sources of Law

Equity	Common Law	Statutes
Unwritten Law		Written Law
Equity	Case Law	Acts of Parliament
Based on the rules of natural justice	Judge-made Law	Statutory provisions prevail over Common Law & Equity
Equitable Rules applied to mitigate the harshness of Common Law	Based on Judicial Precedents	Statutes - www.agc.gov.sg Examples: Estate Agents Act Planning Act
	Common Law Principles prevail over Equitable Rules	Statutory provisions prevail over Common Law & Equity



Examples

1. _____ Act
2. _____ Act
3. _____ Act

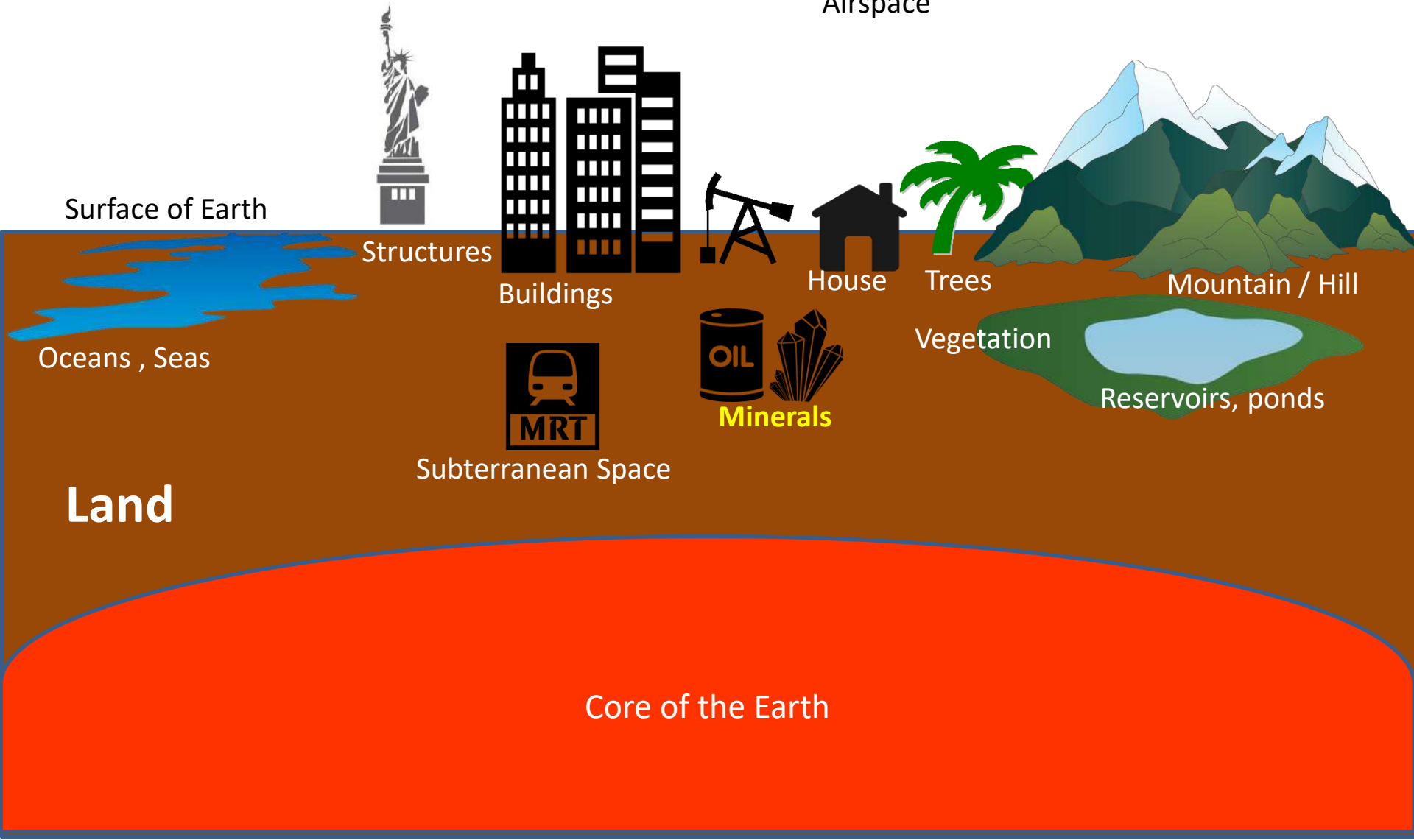
Common Law - Definition of Land



* Land includes **fixtures, hereditaments, estate**

Bernstein v Skyviews and General Ltd [1978]

Airspace



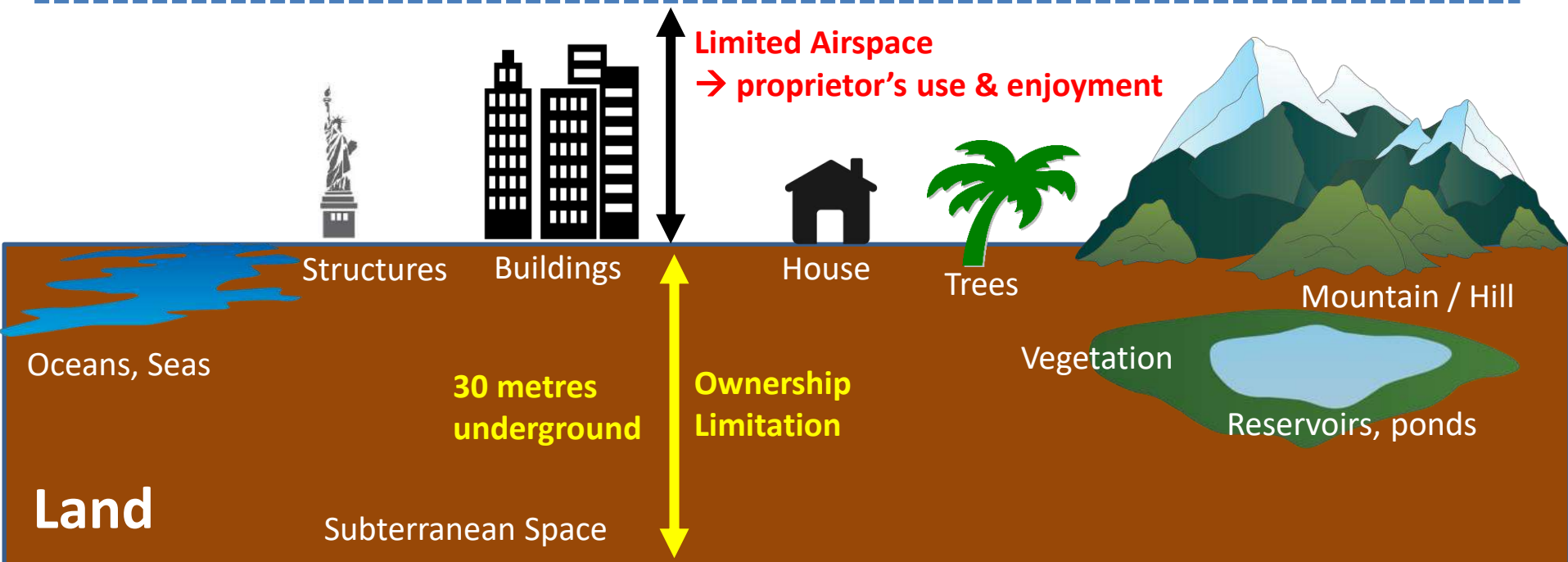
Core of the Earth

Statutes - Definition of Land

1. Land Title Act
2. Land Title Strata Act
3. State Land Act
4. Conveyancing and Law of Property Act



* Land includes **fixtures, hereditaments, estate**



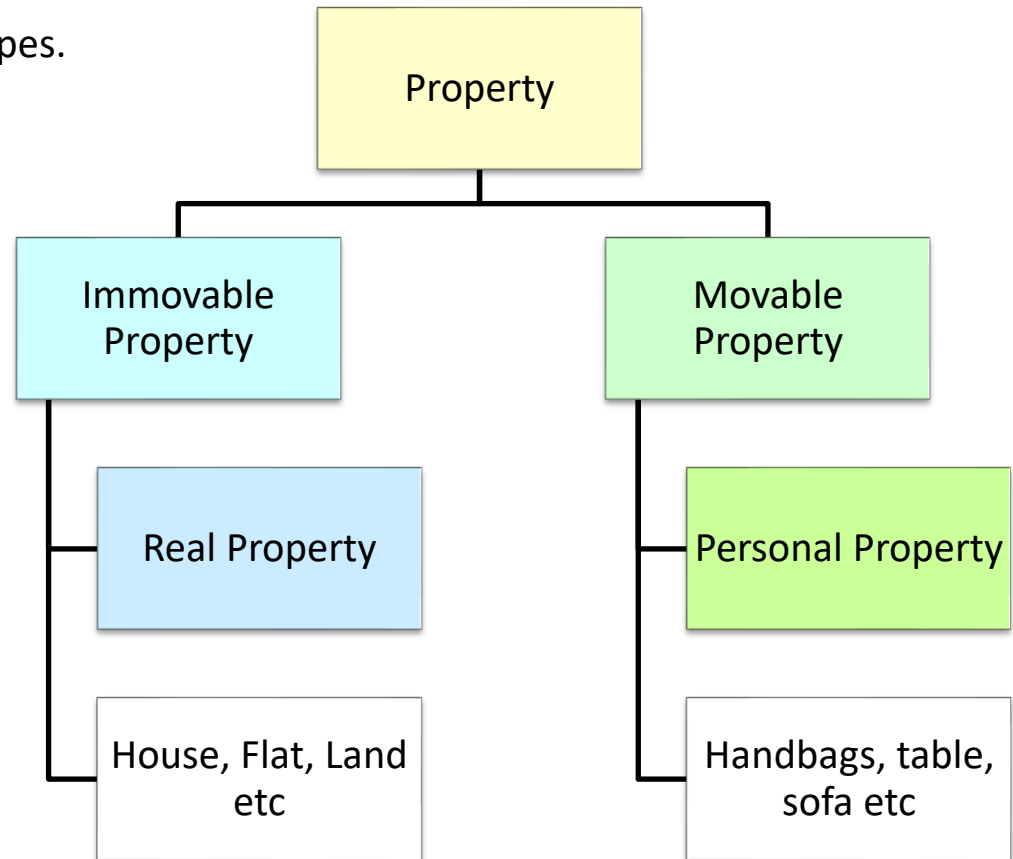
Note:

Land Title Strata Act - any defined parcel of **air-space** or subterranean space whether or not held apart from the surface of the earth

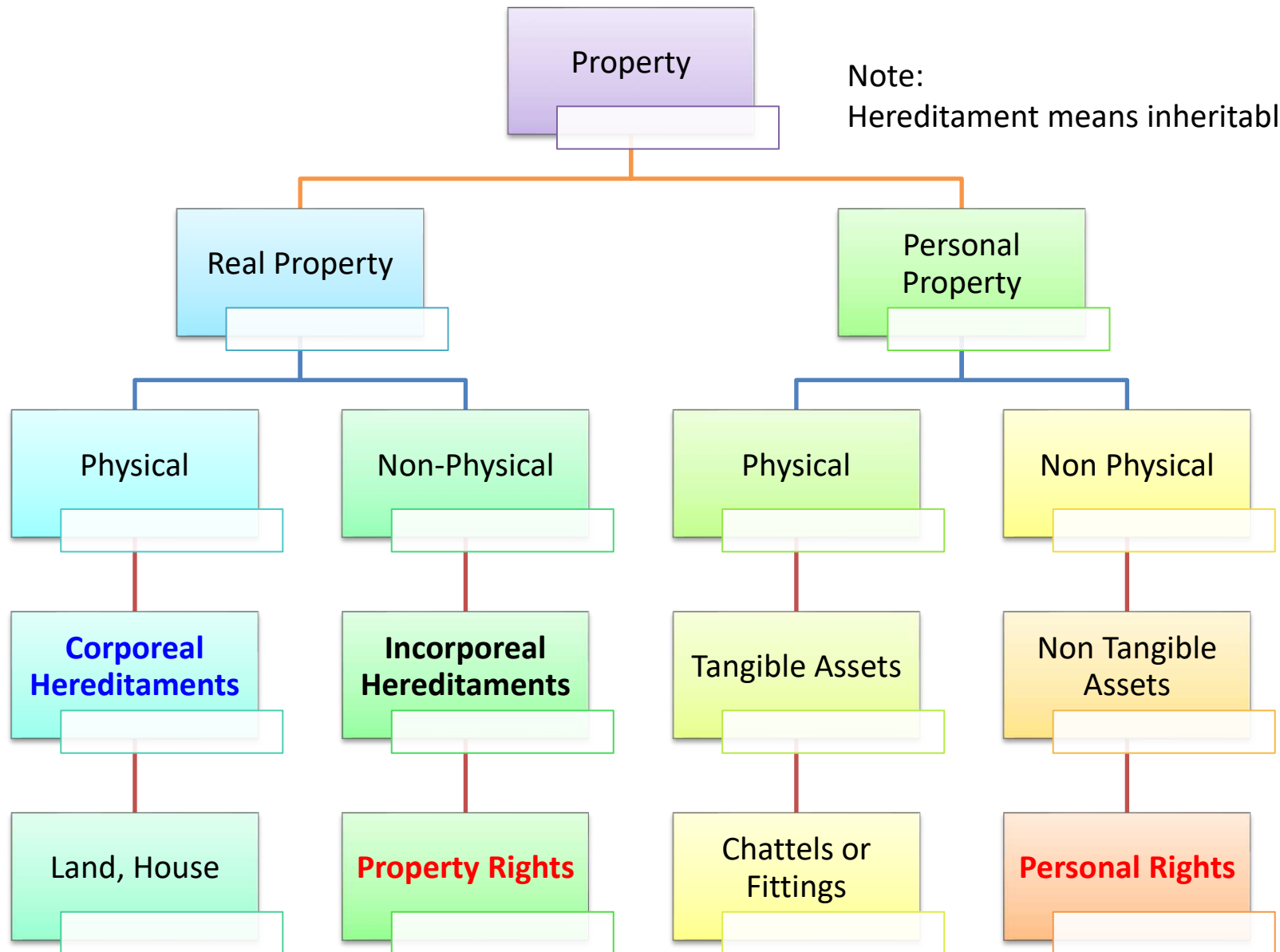
General Law Definition - Real Estate (Property)

Generally, Law divided Property into two types.

1. Immovable (**Real Property**)
2. Movable (**Personal Property**)



Law Definition - Real Estate (Property)



In real estate, *Personal Property* is commonly known as *Chattels or Fittings*

In law, Chattels = Personal Possession

Property Rights = Proprietary Rights = Interest in Land

- All property interests (rights) associated with land
- Rights are capable of affecting third parties; not just the original parties who agreed to them
- Interests (rights) bind future owner

Examples 1

- Mortgages
- Easement
- Restrictive Covenants etc.

Example 2

Elmo bought a 99 years lease (interests) bungalow and has no rights to change to freehold status

Example 3

Johnson sold a large piece of land to Christopher. Christopher has the right to divide the land and build two semi-detached houses. Johnson can't stop him because Christopher has these subdivision rights

Proprietary Rights vs Personal Rights

Personal Property → Personal Rights

- Usually created through a contract
- Rights **affect** only the **original parties** that created them
- Rights are **enforceable** against the **original parties**; Not enforceable against 3rd parties

Example 4

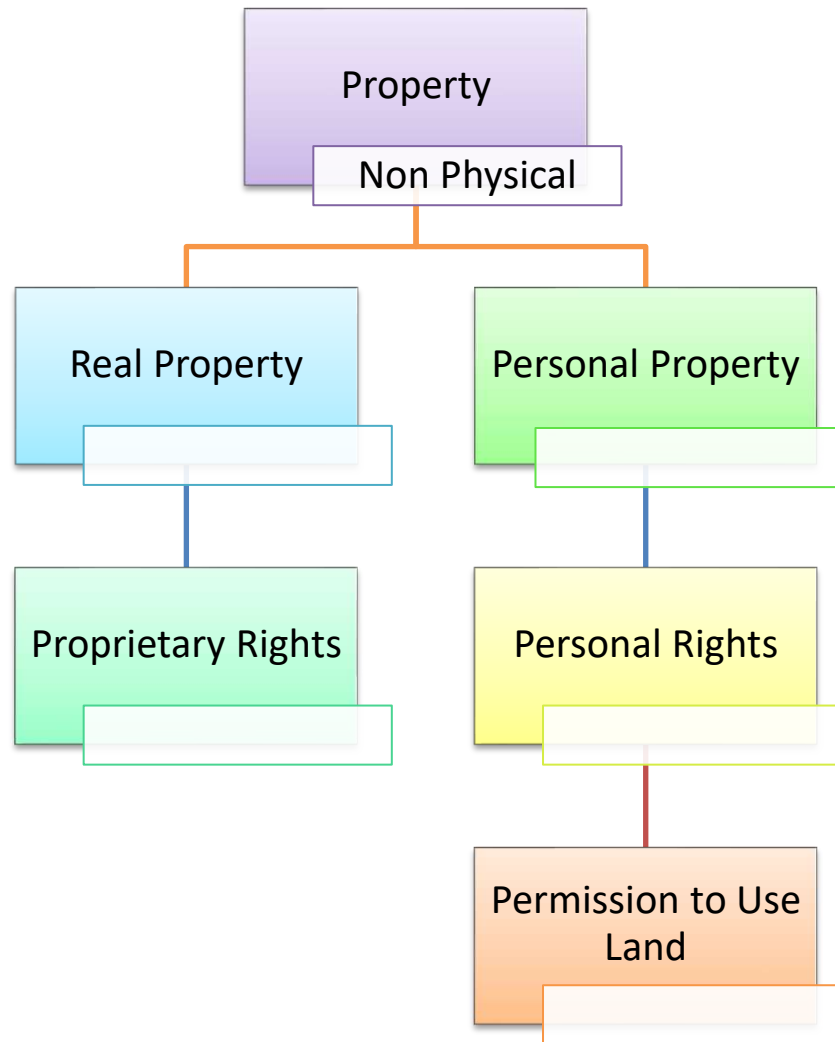
Peter bought James' house. In this house, there is a dining table. When Peter moves in, he cannot stop James from taking the table because Peter has no **ownership** (**personal rights**) of it

Example 5

Adam gave Ben permission to use his property (e.g., a license). If Adam sells the property, Ben cannot enforce the usage rights (**personal rights**) against the new owner.



Proprietary Rights vs Personal Rights



1. *Real Property*

- a) means all **property rights (interests)** related to land. Interests **bind** future owner
- b) **Property Rights = Proprietary Rights**

2. *Personal Property*

- a) means right to use land for a specific purpose that is **personal to the owner** and **cannot bind** future purchaser of the land
- b) Rights against person (**through contract usually**)

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graph TD; A[Incorporeal Hereditaments] --> B[Bundle of Rights over own Land]; A --> C[Proprietary Rights over other persons' Land];
```

Incorporeal Hereditaments

Bundle of Rights **over own Land**

Proprietary Rights over **other persons' Land**

Bundles of Proprietary Rights



=



A "bundle of sticks" - Each stick represents an individual right (interests of land)

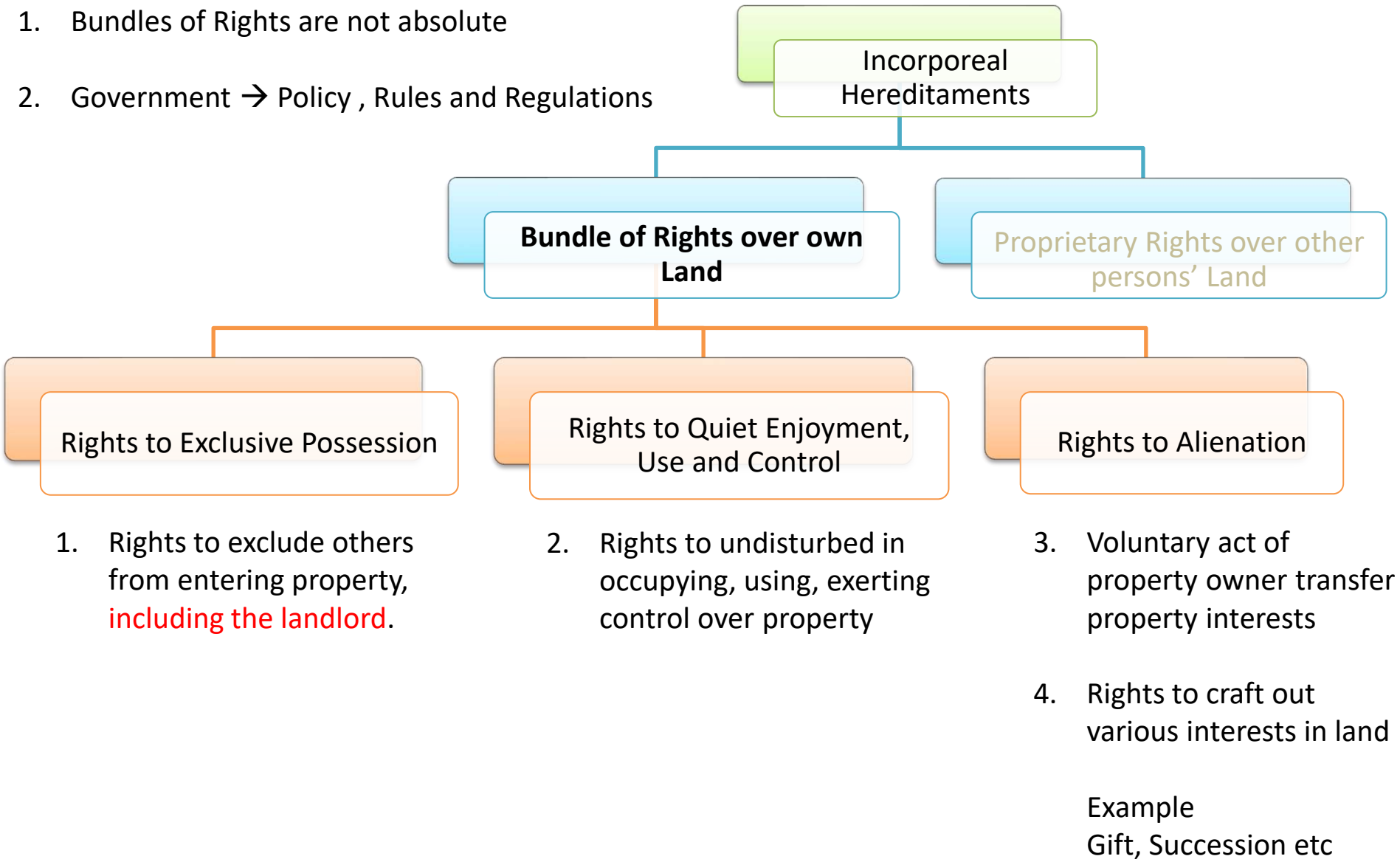
- Use separately, concurrently or multiple at same or different time
- Can be divided (E.g. REITS)

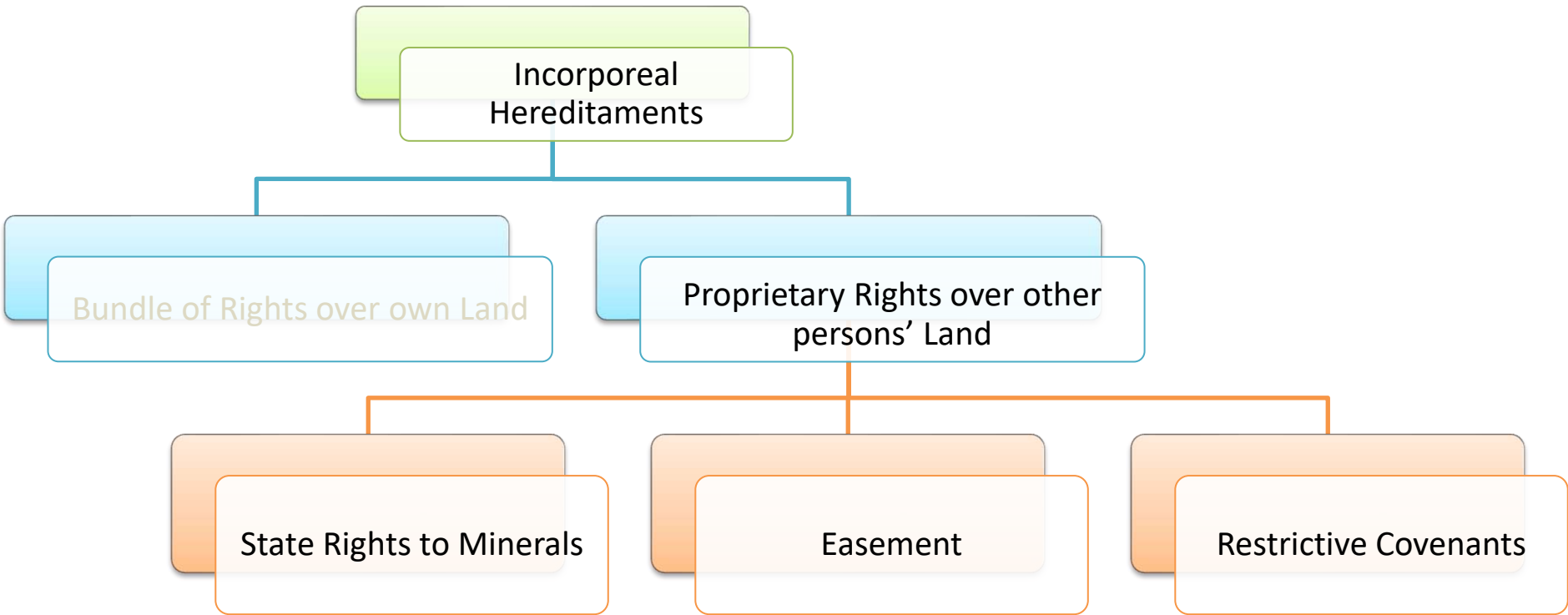
Examples

1. Rights to _____
2. Rights to _____
3. Rights to _____
4. Rights to _____
5. Rights to _____
6. Rights to _____

Notes:

1. Bundles of Rights are not absolute
2. Government → Policy , Rules and Regulations





Are these items part of the sale of property ?

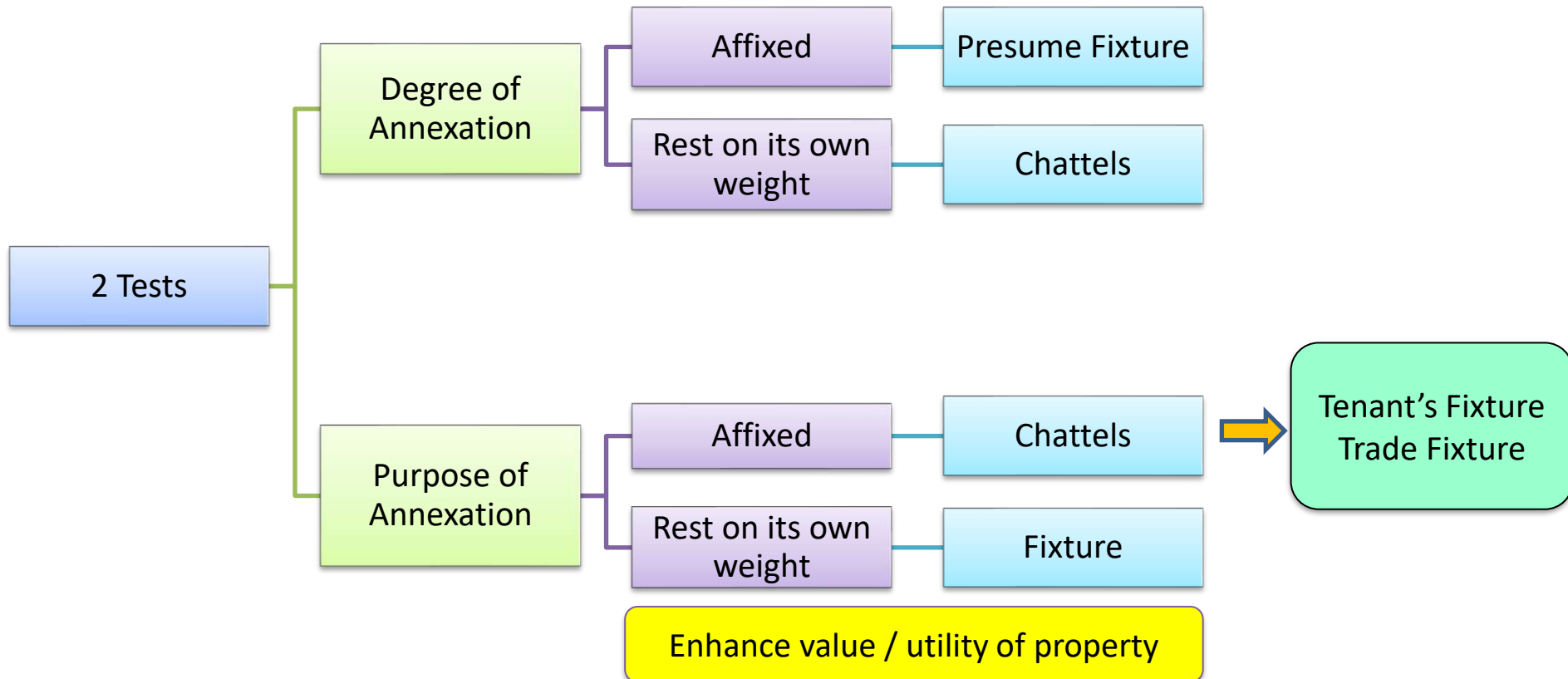
How would you make a judgement ?

1. Seller
2. Buyer



Fixtures

1. Fixtures are **items** that **attached** to a **Land** and these items lose their characteristic as **Chattels** and become part of the building and so Fixture forms part of the **Land**
2. **In absence of prior agreement**, Fixtures hands over to buyer upon sale of property
3. **Fixtures form part of the entitlement of mortgagee**



Trade or Tenant's Fixtures



4. Trade or Tenant's fixtures are affixed items put up for business operation
e.g. **aircon units**, **affixed machinery**, **equipment**
5. Upon lease expiry, these fixtures shall be **removed within a reasonable time**.
6. Otherwise, these items shall **retained as** property of landlord

Inventory List

1. Seller and Buyer should agree on what items are added together with the sale & purchase of property



2. All agreed items inclusive of chattels between the Seller and Buyer should be written clearly in the Inventory List



3. Final Inspection of property should be arranged to verify items in Inventory List before completion

Summary



1. Land means:

a) Surface of Earth includes all structures and natural vegetation

b) Airspace and Underground

c) Hereditaments

Proprietary (Property) Rights vs Personal Rights

Enforceable against all parties

Enforceable against parties concern

d) Fixtures

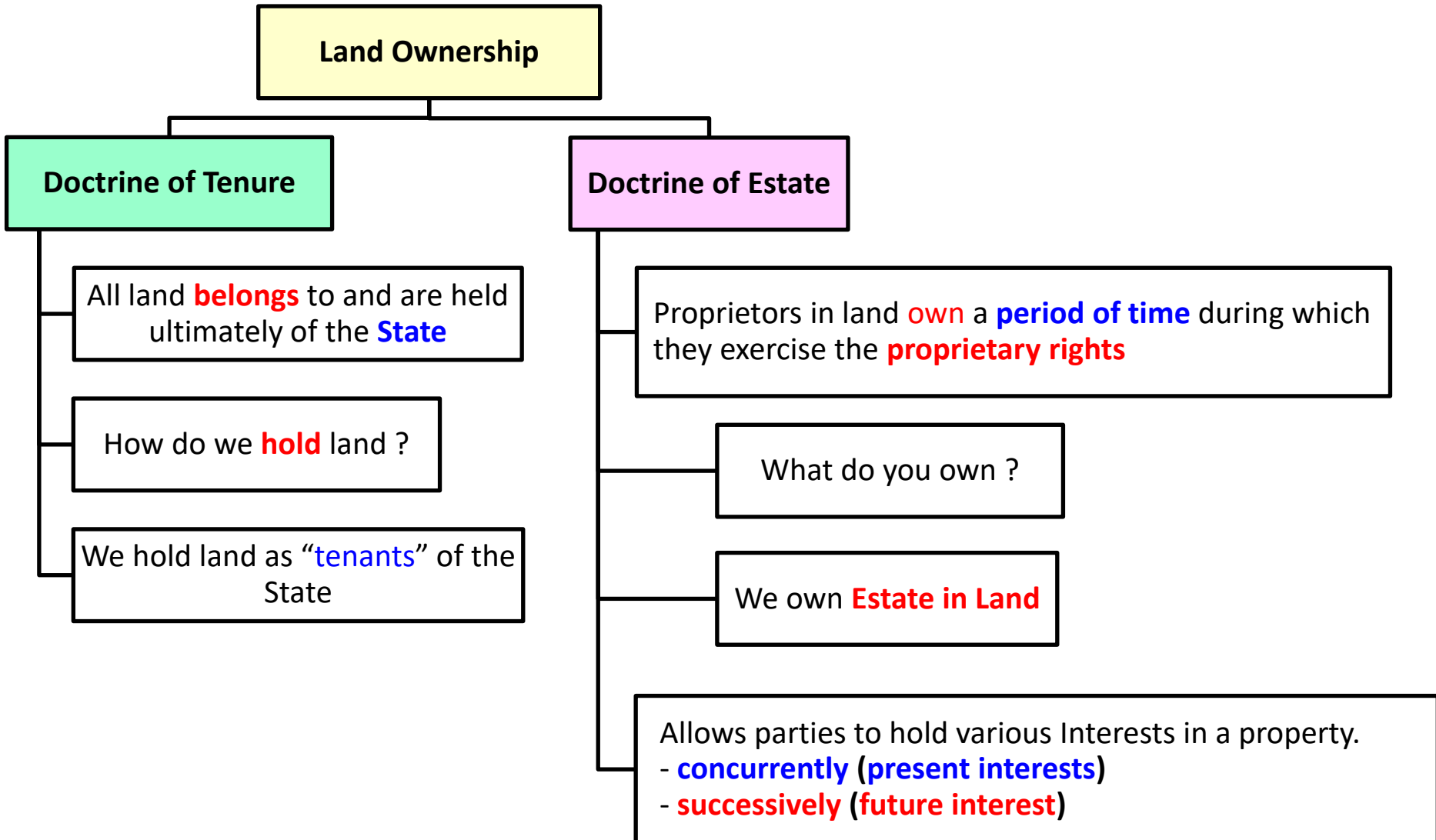
Determine an item is part of the land

Degree of Annexation & Purpose of Annexation

e) Estates → Types of Proprietary Rights (Next Topics)

- Estate in Land
- Interests in Land

Concept of Ownership



Note:

- Estate refers to the length of time for enjoyment of land
- Tenure refers to terms & condition of holding and enjoy the land

Types of Estate

Freehold
(indeterminable period)

Leasehold
(determinable period)

Estate In
Fee Simple

- Largest freehold estate; without the need to pay rent and pass on to successors
- Limited only by government regulation of such rights through restrictions on use / development, legislation & taxation

Estate in
Perpetuity

- Created under State Lands Act (a statutory estate)
- Grant subject to terms and conditions as agreed upon in absence of express terms
- Subject to terms & conditions set out in the statutes. E.g. right of government to have free access to land and take mineral oil.

Life Estate

Land ownership is based on duration of a person's life

- Granted for the natural lifespan of grantee
- A grantee is a person who receives property after a sale or other transfer of title

All 191 units at Geylang Lorong 3 vacated, ownership of land returned to State

Leasehold Property in Singapore



1 of 5 Residents packing up and moving out of housing units at Geylang Lorong 3 on Dec 31, 2020. PHOTO: SINGAPORE LAND AUTHORITY



Ang Qing

UPDATED: JAN 2, 2021, 8:15 AM SGT -



SINGAPORE - All 191 units at Geylang Lorong 3 have been vacated and ownership of the 60-year leasehold land has returned to the State, said the Singapore Land Authority (SLA) on Friday (Jan 1).

In June 2017, the statutory board announced that the land occupied by the 191 terrace units would return to the state when the leases expired on Thursday.

This is the first time a residential plot of land in independent Singapore has reached the end of its lease.

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S10 State Land Rules

1. The title issued shall be a lease for a term not less than 10 years and not exceeding 99 years
2. Exception:
 - Land is not capable of independent development and
 - is required for development with the applicant's adjacent land

Title to be issued may be the same as applicant's land.

Leasehold Estates in Singapore

1. A leasehold estate can be carved out of a freehold estate to create a term of years.

Example 1 - State Land sold under the Government Land Sale Scheme

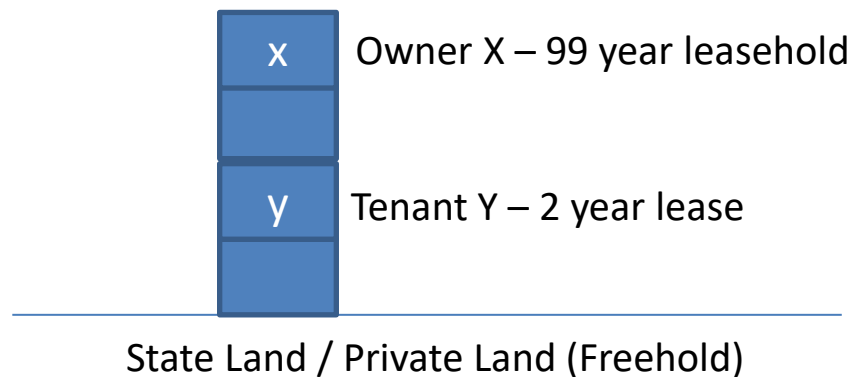
- a) 99 year lease condominium
- b) 30 year factory
- c) HDB flats

2. A short - term lease commonly known as a Tenancy can also be carved out of a leasehold estate.

3. Long-term lease or **short-term tenancy** is an **interest** in land.

Thus lessee / tenant exercises the **Bundle of Rights** during the lease or tenancy period

Example 2 – Multiple Interests



Leasehold Estates in Singapore



SINGAPORE

'Factually and legally wrong' to say HDB flat buyers not owners but renting: Lawrence Wong



By Fann Sim
@FannCNA

Singapore

'Factually and legally wrong' to say HDB flat buyers not owners but renting: Lawrence Wong

04 Sep 2018 12:00PM

(Updated: 04 Sep 2018 06:12PM)

18,008 shares



Bookmark



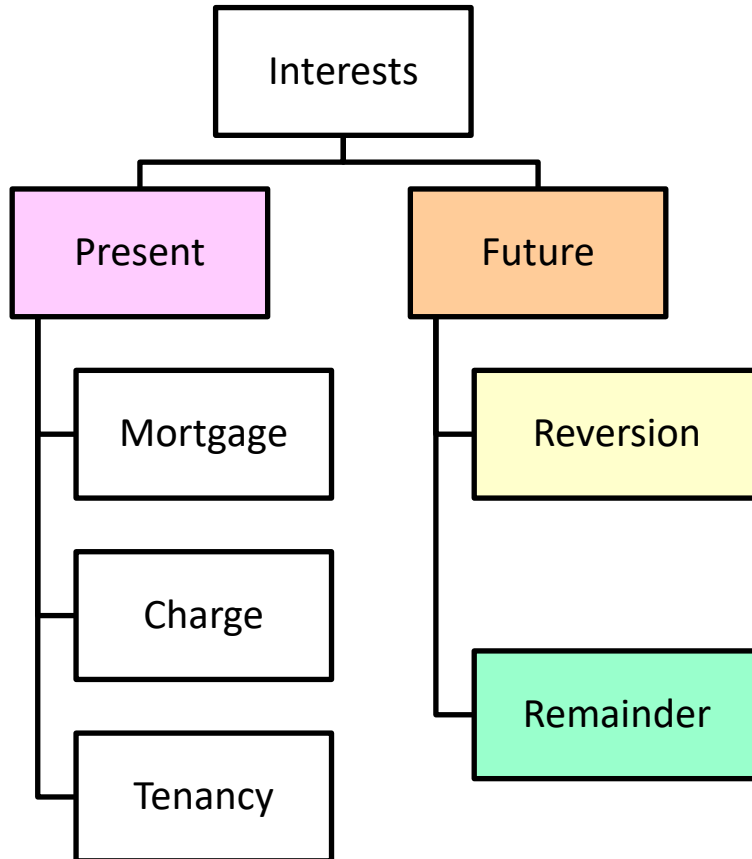
File photo of Minister for National Development Lawrence Wong. (Photo: Lianne Chia)

SINGAPORE: The claims that HDB flat buyers do not own their flats and are renting them is "factually and legally wrong", said Minister for National Development Lawrence Wong.

There is also no basis to such a claim, he said at the HDB's Peak Forum for building professionals on Tuesday (Sep 4).



Multitude of Interests Can Thus Exist in a Parcel of Land



Reversion occurs when a property owner makes an effective **transfer of property** to another person but **retains some future right to the property**

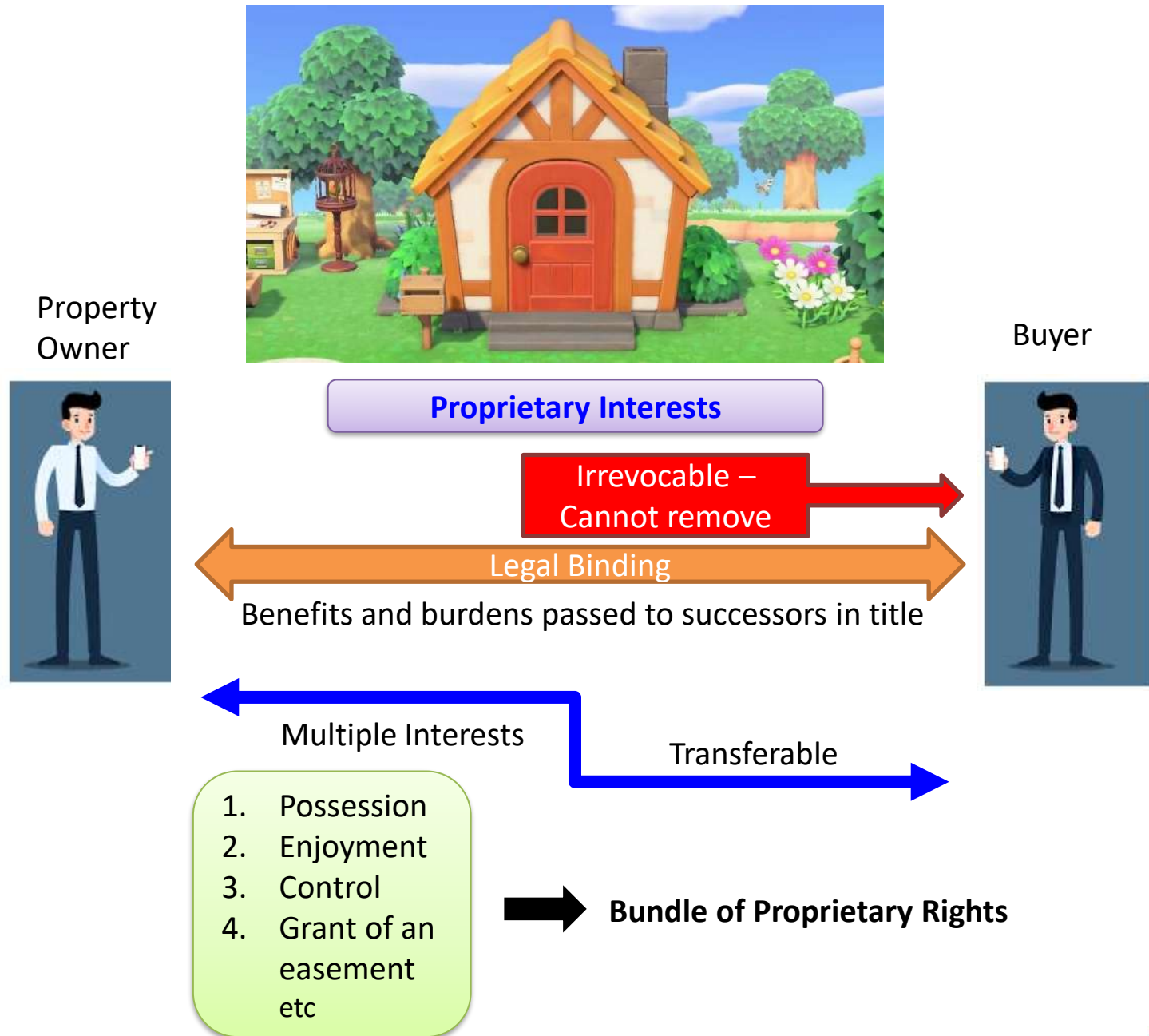
Grantor gives a present interest:

- (the **right to the possession** and use of the property) to one person X for either **life** or a **set period of time** and
- also gives a future interest (**a non possessory interest**) in the property to another person Y.
- The future interest is called a **remainder**

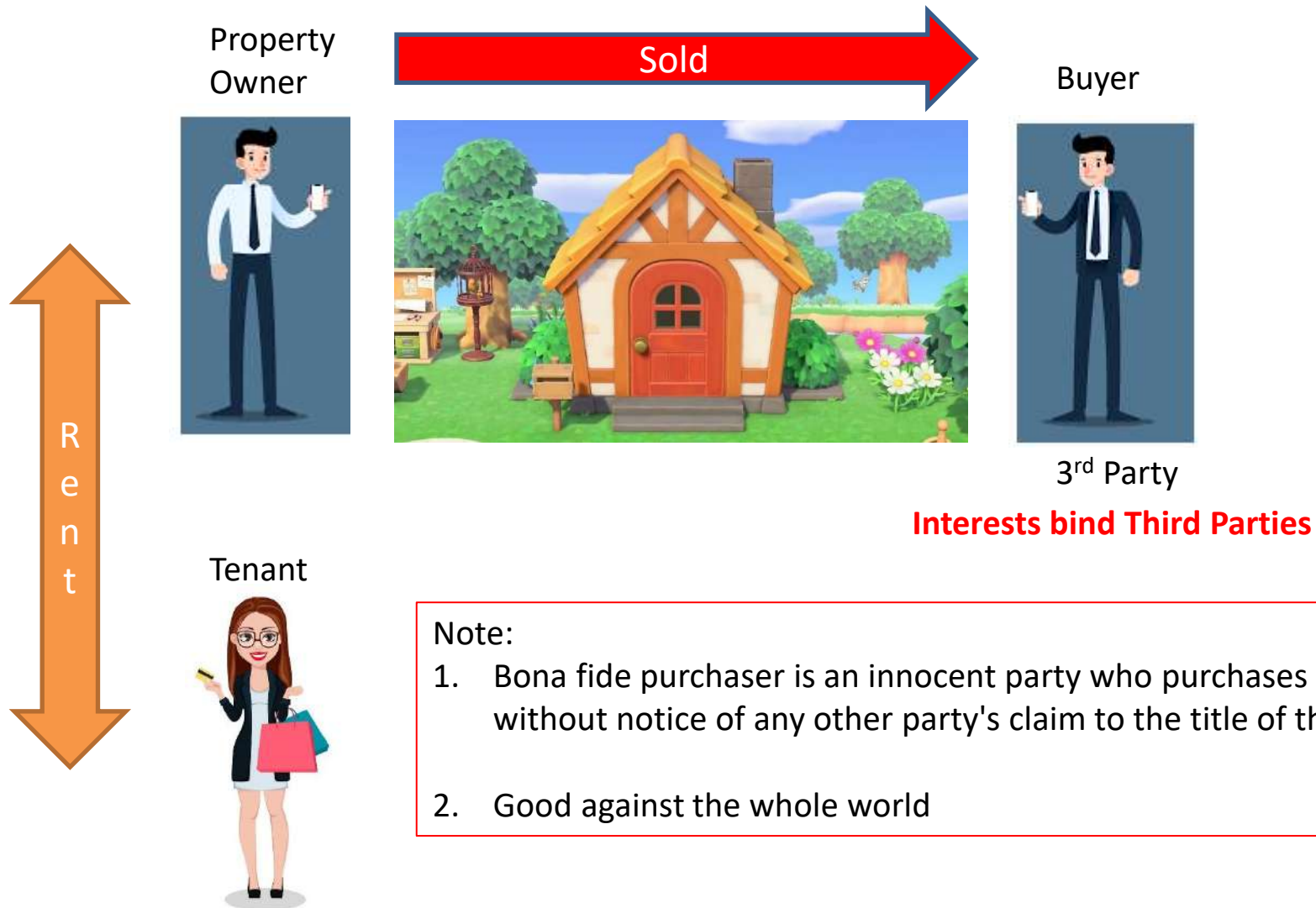
Note:

Reversions or remainders can be conveyed to 3rd party like any other interests in land.

Characteristics of Rights & Interests in Land



Characteristics of Rights & Interests in Land



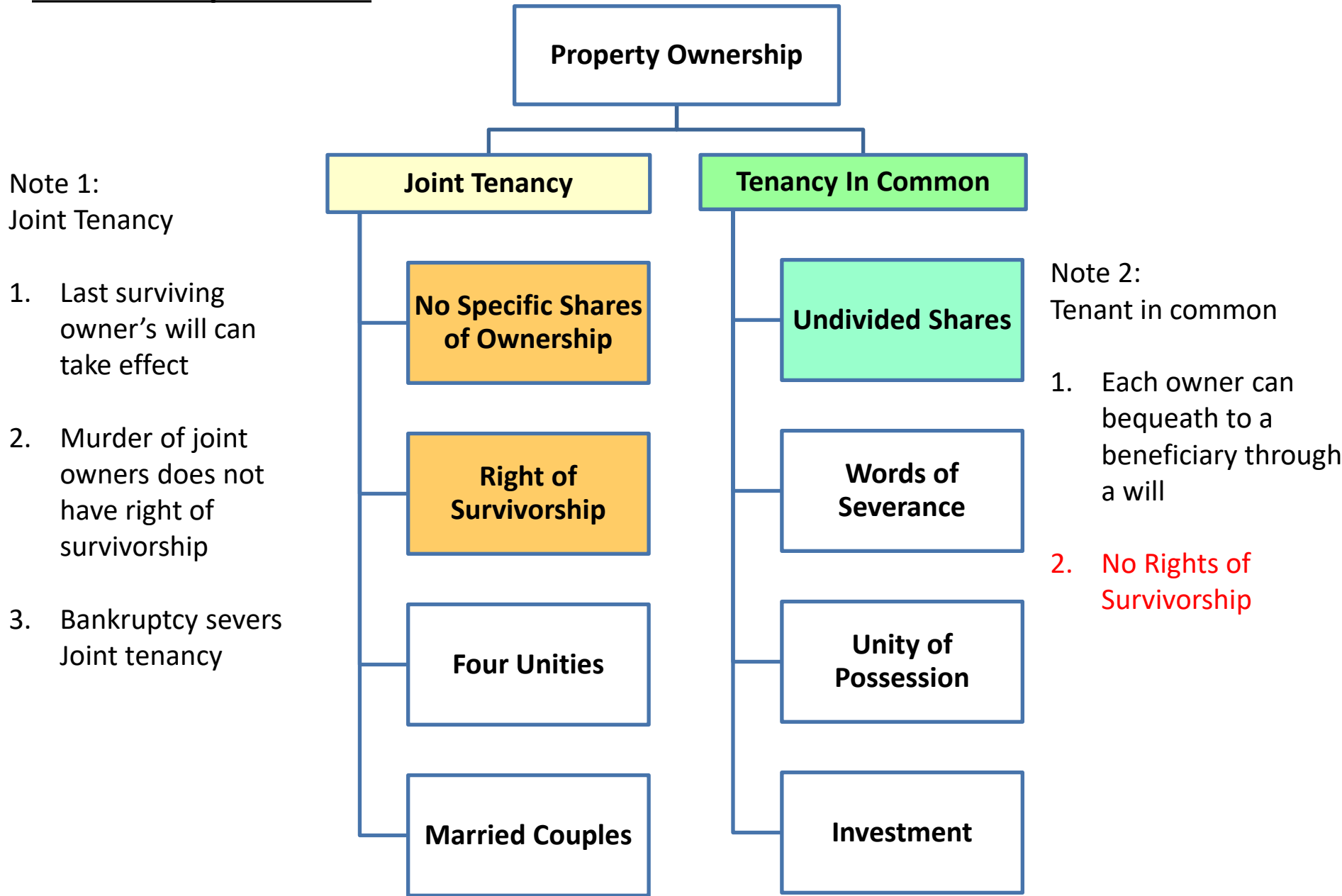


Lesson 4

1. Co- Ownership
2. Restrictions on capacity to hold land
3. Alienation – Gift, Succession and Trusts
4. Mortgage
5. Rights in another's land – Easement & Restrictive Covenants

SEAA has made reasonable efforts to ensure that the information provided in our handouts / notes is accurate at the time of print.

Co-ownership – 2 Forms



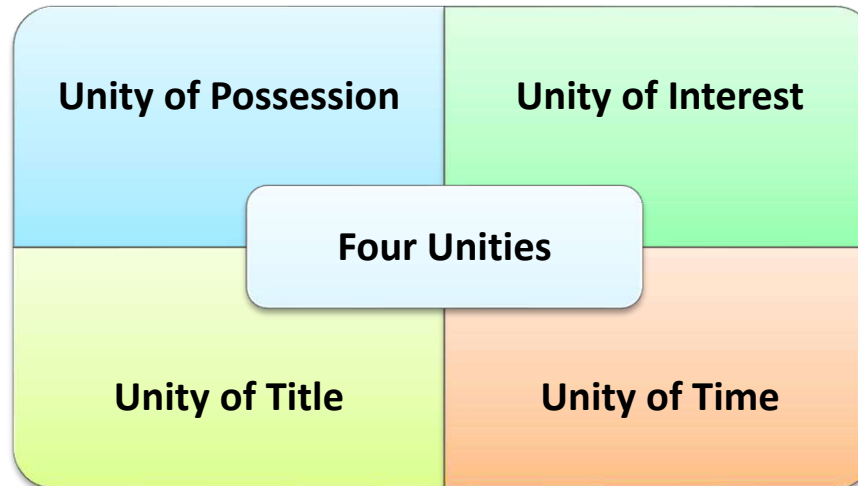
4 Unities of Joint Tenancy

Unity of Possession

- Each joint tenants are fully entitled to possession of jointly owned property as with any other joint tenants.
- No single joint tenant can point to a physical part of the land and claim it as his own

Unity of Interest

- Joint tenants are entitled to **one and the same interest**.
- This means an interest in land cannot be shifted to anyone else without all the **joint tenants acting in together**.



Unity of Title

- Joint Tenants must obtain their interests from the **same document** or transfer

Unity of Time

- Joint Tenants must obtain their interests at the **same time**.

Conversion to Manner of Holding – Co-Ownership

S53(3) Land Title Act – Conversion of **Tenant In Commons** to **Joint Tenancy**

1. Owners share of property must be equal shares (50% - 50%)
2. Fill up *Form 15 - Instrument Of Declaration To Hold As Joint Tenants*
3. Register to Singapore Land Authority

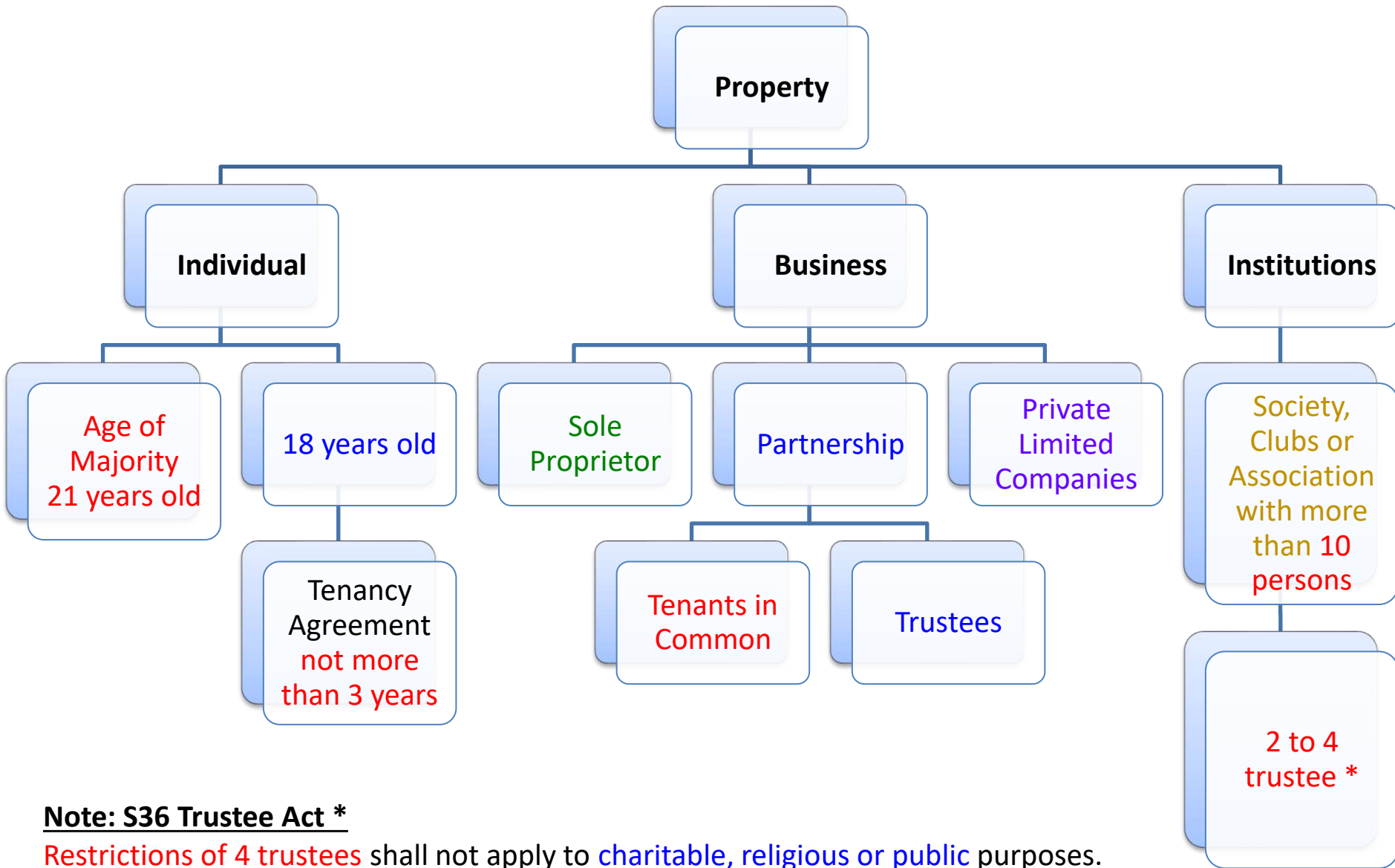
S53(5) Land Title Act – Conversion of **Joint Tenancy** to **Tenant In Commons**

1. Any joint owners **can unilaterally sever** a joint tenancy and convert to Tenant In Common (without consent of other joint owners)
2. Fill up *Form 17 - Instrument of Declaration by a Joint Tenant to Sever a Joint Tenancy*
3. Serving a copy of Form 17 personally or by registered mail to other joint owners
4. Register to Singapore Land Authority

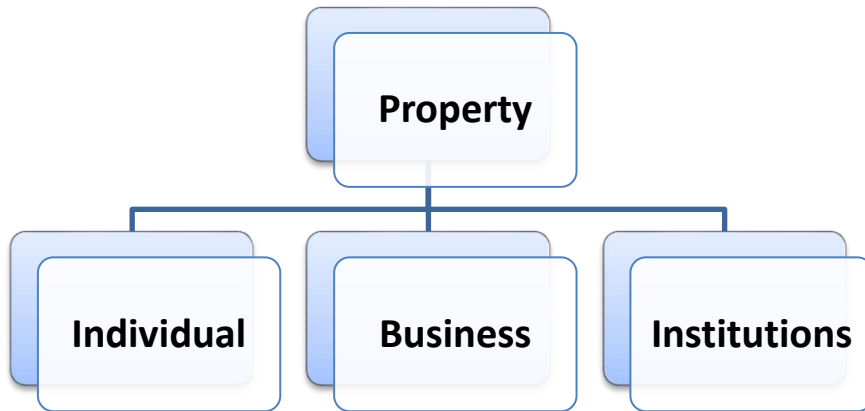
Note:

1. All declaration made in the presence of a Commissioner for Oaths
2. If any co-owners disagree with the conversion in Tenant in Common ownership, he can bring the matter to court.

Legal Capacity to Hold Property



Legal Capacity to Hold Property



Residential Property Act

Entities with foreigners' shareholder cannot purchase restricted property **unless**

1. Singapore Land Authority Approval
2. LDAU - **Land Dealings Approval Unit**

Power of Attorney

1. A **Power of Attorney** is an instrument created by a person who appoints another person to act on his behalf.
2. The creator of the POA is called the **Donor** and must be **21 years or older**
3. The person appointed to act on the donor's behalf is called the **Donee**.
4. Donee has **authority to act** on behalf in all circumstances unless the POA document itself restricts the power of the donee in certain situations.
5. Examples:
 - a) access bank safe box
 - b) buying and selling property**
 - c) filing tax returns
6. POAs are usually **valid until**
 - a) revoked by the donor** or
 - b) upon the **donor's death** or
 - c) incapacity of the donor or
 - d) upon an event specified in the POA document.



**"An increase in my weekly allowance is fine, Dad.
But I would prefer to have power of attorney."**

Lasting Power of Attorney

1. A Lasting Power of Attorney is legal document which allow a **donor** who is

- i. 21 years or older
- ii. Mental Capacity
- iii. Not an Undischarged Bankrupt

voluntarily appoint one or more persons as **donee** and

- a) allow Donee makes decisions and **act on his behalf** should he **lose mental capacity**.
- b) **Personal Welfare** and **Property & Affairs matters**.

2. **Property & Affairs matters** includes

- i. dealing with buying, selling, renting and mortgaging property,
- ii. opening, closing and operating bank accounts,
- iii. receiving dividends, income or other financial entitlements on behalf of the donor,
- iv. handling tax matters,
- v. paying the rent, mortgage repayments and household expenses,
- vi. investing the donor's savings, and
- vii. purchasing a vehicle or other equipment the donor needs

3. **Restrictions on Donee:**

- i. Cannot create a **Will** on behalf of Donor
- ii. Cannot make a **Gift** on behalf of Donor
- iii. Cannot make decision on behalf of Donor if he/she regains mental capacity (**but LPA remains valid**)

Lasting Power of Attorney

4. Can Donor appoints more than one donee, how should they decide on matters on my behalf?

If you appoint more than one donee to make decisions about the same matters, you can appoint them to act in any of the following ways:

- a) Jointly: The donees have to act together and cannot act separately
- b) Jointly and severally: The donees can take the decisions together or separately. Both types of decisions are valid.

5. If Donor appoints more than one donee and **do not specify** how they are to act, the **law** assumes they are to **act jointly**

Using the LPA to transact with third parties

(banks, insurance companies, other government agencies, etc.)

Documents that must be presented by the donee(s) to the third party

1 Softcopy LPA / Hardcopy LPA / Certified True copy from OPG

This is to allow third parties to establish the specific powers which the donor has given the donee(s).

2 Other documents that the third party may require the donee(s) to produce (this varies according to each third party)

Third parties each have their own specific requirements. For example, they may require a [doctor's medical report](#) to be produced, certifying that the donor has lost the capacity to manage his own affairs. Please contact the third party for clarification on what additional documents are needed.

Note: When transacting with banks, donees should present a current medical report dated within the last six months on their first visit to the bank. However, for permanent conditions, the last medical report stating the permanent lack of mental capacity condition will be sufficient.

References:

- 2 Types of LPA
- www.publicguardian.gov.sg
- www.msf.gov.sg



THE LASTING POWER OF ATTORNEY & YOU

7 steps for peace of mind

1 YOU NEED A LASTING POWER OF ATTORNEY (LPA)

- Anyone may lose mental capacity suddenly and at any age
- An LPA is a legal document which you, the donor, can make to appoint a donee, to make decisions and act on your behalf, after you lose mental capacity



2 YOUR FAMILY MAY NEED TO GO TO COURT IF YOU DO NOT HAVE AN LPA

- The power to make decisions and act on your behalf is not automatically given to your family
- They may need to go to court, which will appoint a deputy. This process will be costly and time-consuming



3 YOU NEED A DONEE

- At least 21 years old
- Someone you trust, like a relative or friend



4 YOU MUST GET YOUR LPA CERTIFIED BEFORE SUBMISSION

By a certificate issuer who can be:

- Accredited medical doctor
- Lawyer
- Psychiatrist



5 YOU MUST COMPLETE BOTH THE LPA AND APPLICATION FORMS

- Visit www.publicguardian.gov.sg to download the forms
- Please read the instructions and complete the forms properly



The certificate issuer will:

- Ensure you understand the purpose of the LPA
- Confirm no fraud or undue pressure was involved
- Sign on the LPA Form as a witness for you

Your LPA application is now ready to be submitted.



6 YOU CAN STILL MAKE AMENDMENTS LATER

As long as you have the mental capacity.

7 YOUR LPA WILL NOW TAKE EFFECT

An LPA takes effect upon registration but can only be used after you lose mental capacity.



The Lasting Power of Attorney

Difference between a LPA and Will

The LPA and Will are two separate legal documents.

An LPA allows a person ('donor') to appoint one or more **donees** to **make decisions** and act on his behalf if he should lose mental capacity one day.

The LPA will be **cancelled** upon the **death** of the donor.

A Will is to provide for the administration and distribution of what he owns ('his estate') among his beneficiaries **after his death**.



Singaporeans making an LPA Form 1 can enjoy a **\$50 fee waiver** now. Completed forms can be mailed to the Office of the Public Guardian for free. Download LPA forms from www.publicguardian.gov.sg

Brought to you by:



Alienation: Gift Inter Vivos

1. When a property owner transfers his property to another person in his lifetime without monetary consideration, this is known as *gift inter vivos*.
2. The gift is irrevocable
3. Person who makes the gift is called the **donor**
4. Person who receives the gift is called the **donee**
5. Stamp Duty is payable on **transfer** of **property** in the form of gift
6. Inter Vivos gift properties shall subject to mortgagee and CPF board's approval.

Simple Procedure:

1. Deed of Gift
2. Pay Stamp Duty (**Market Valuation**)
3. Transfer Instrument → SLA

Court throws out man's bid to get back \$500k in 'love gifts' to mistress



Alienation: Gift Inter Vivos



High Court found these gifts are irrevocable

Najib says seized items are mostly gifts, has started legal process to reclaim them



Items seized from six residences linked to Malaysia's ousted prime minister Najib Razak are displayed during a press conference in Kuala Lumpur on June 27, 2018. ST PHOTO: NADIRAH H. RODZI

PUBLISHED JUN 28, 2018, 6:16 PM SGT

Yang Yin trial: Accused told police officer he 'forgot' \$500k was a gift



1 of 3 Yang Yin seen in a police car in 2014. PHOTO: ST FILE

Are these gift irrevocable too ?



ST VIDEOS



Bankruptcy Laws on Gift and Property Matters

S77(1), S98 and S100 Bankruptcy Act – Law still applies for bankruptcy happen before 30th July 2020

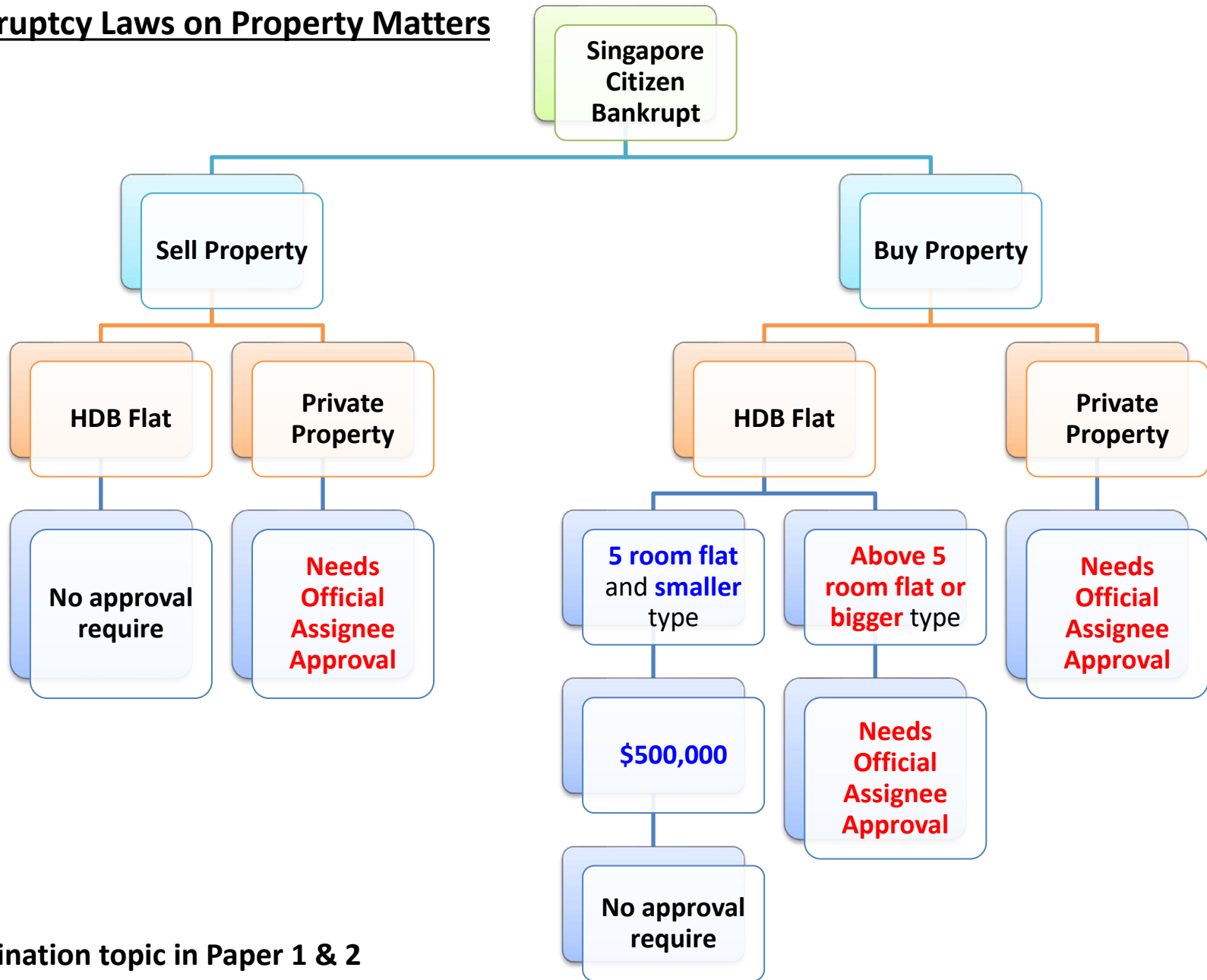
1. Donee received a property as a gift whom **property owner** went **bankrupt** within **5 years**
2. The gift shall be **void**
3. Unless the gift was transferred with consent from the Court
4. This gift (**transaction at undervalue**) may be set aside and form part of the estate of the creditor and the donee will lose his rights to the property.
5. Unless the donee can prove that at the time of the gift, the donor was in **good financial condition**.

Insolvency, Restructuring and Dissolution Act 2018

S361, S363 and S365 Insolvency, Restructuring and Dissolution Act 2018

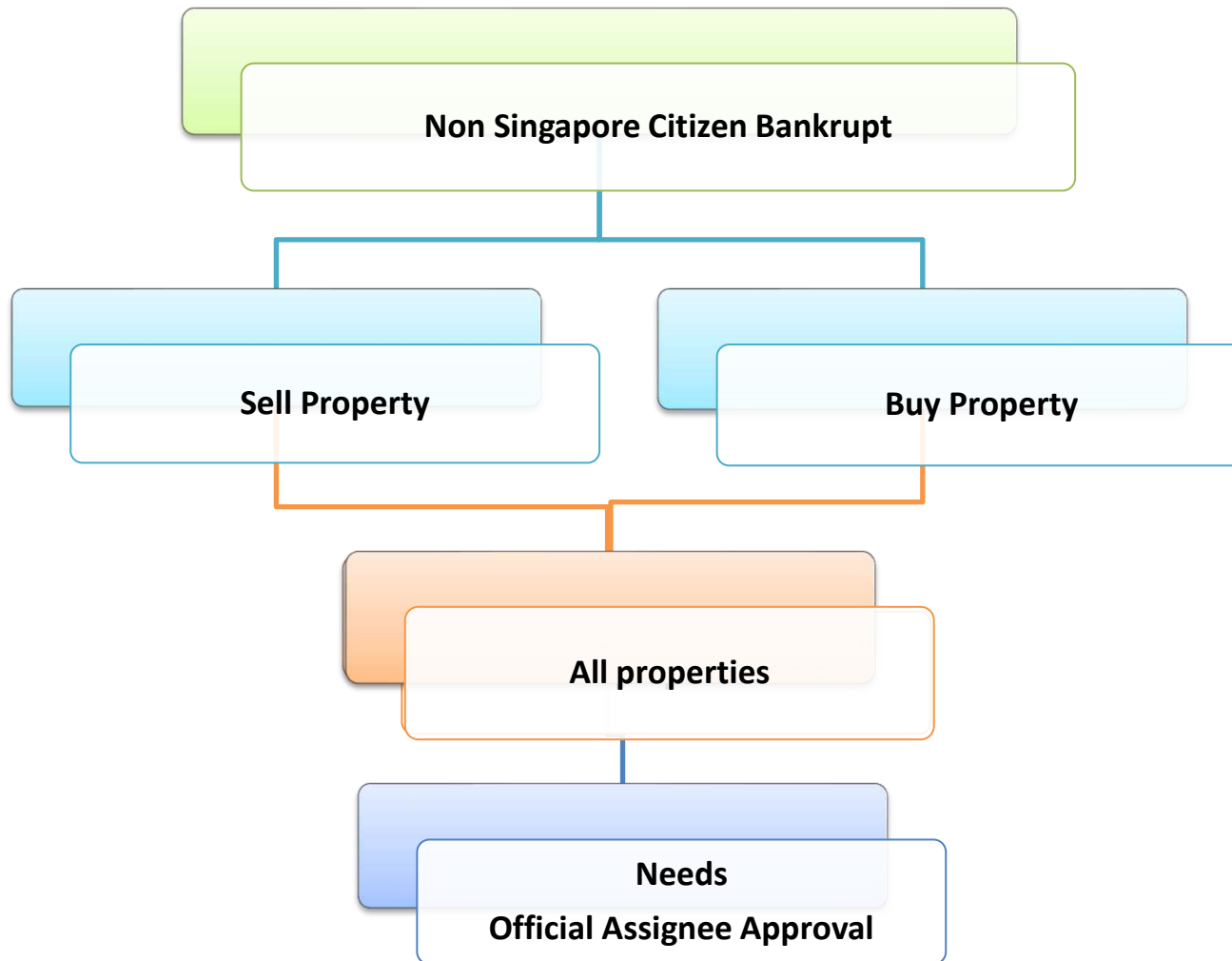
1. A new law to deal with insolvency company, bankrupt and related person
2. The Court shall apply similar principle (under repeal Bankruptcy Act) towards the Donor and Donee in matters towards the Transfer of Property within **3 years (Voidable)** under:
 - a) **Gift** or
 - b) **Transaction at Undervalue**
3. Court decides on the final outcome on such property transfer.

Bankruptcy Laws on Property Matters



Note:
Examination topic in Paper 1 & 2

Bankruptcy Laws on Property Matters



Note:
Examination topic in Paper 1 & 2

Civil Laws in Singapore

When a person dies:

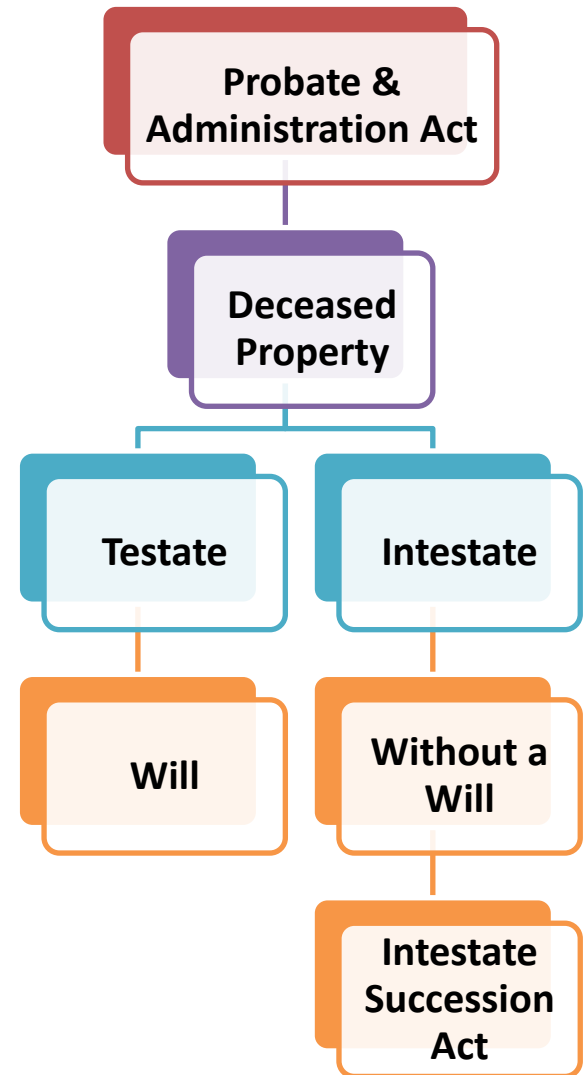
1. **With a Will (Testate)**, Court will issue a **Grant of Probate** & appoint the **Executor(s)** named in the will to transfer deceased's property to successors according to the will.
2. **Without a Will (Intestate)**, Court will issue a **Letter of Administration** & appoint an **Administrator** to distribute the property according to the **Intestate Succession Act**.

Probate And Administration Act.

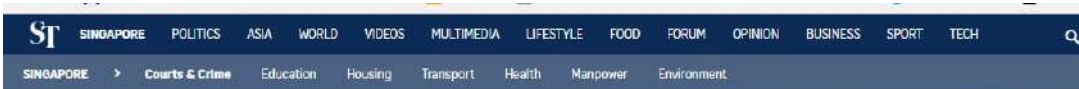
1. Maximum 4 administrators or executors
2. Administrator or executor must be 21 years old
3. Bankrupt assets → Creditors get priority

Will Act

1. Testator must be 21 years old
2. Will must be created in writing, signed by testator with **2 or more witness**
3. Will is void if:
 - i. Beneficiary who is a witness of will or
 - ii. Beneficiary is spouse of the witness or
 - iii. Will to be revoked by marriage



Case Study: Validity of Will



Court orders freeze on \$1m of assets in dispute over wills



PUBLISHED JUN 20, 2018, 5:00 AM SGT



Interim injunction issued in case involving man whose former friend sued him for return of monies transferred

K.C. Vijayan Senior Law Correspondent



Final will upheld in dispute over Yeo family properties



Yeo Hap Seng Canning & Sauce Factory Ltd at Bukit Timah Road on Oct 6, 1958. PHOTO: ST FILE

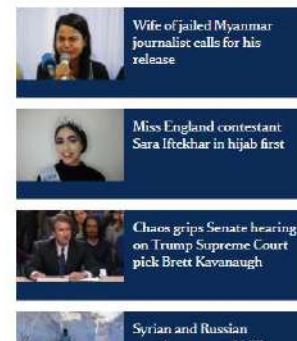
PUBLISHED OCT 14, 2016, 5:00 AM SGT



Judge rules matriarch's decision to cut out two grandchildren valid despite her illness



ST VIDEOS



Intestate Succession Act – Rules of Distribution

Rules	Survivor	Absent	Who Gets What
1	Spouse	Children & parents	Spouse gets everything
2	Spouse, Children (or children's descendants)		Spouse gets half Children gets the other half in equal portions
3	Children (or children's descendants)	Spouse	Children get everything in equal portions. Grandchildren can claim their parent's share in equal portions if their parent is dead
4	Spouse, parents	Children	Spouse gets half Parents get half in equal portions
5	Parents	Spouse, children	Parents get everything in equal portions
6	Brothers and sisters (or children of the deceased brother or sister)	Spouse, children, parents	Brothers and sisters get equal portions. Their children can claim their share for them in equal portions if they are deceased
7	Grandparents	Spouse, children, parents, brothers and sisters or children of such brothers and sisters	Grandparents take the estate in equal portions
8	Uncles and aunts	Spouse, children, parents, brothers and sisters or children of such brothers and sisters, grandparents	Uncles and aunts take the estate in equal portions
9	None	Everyone	Government takes everything

SINGAPORE

Abandoned house sold for \$2.23m in frenzied 12-minute auction

✓ This article is more than 12 months old

Frenzied auction for Sembawang Hills Estate terraced house where skeletal remains were found

TOH YONG CHUAN
Feb 28, 2018 06:00 am



The Sembawang Hills Estate terraced house where two sets of skeletal remains were found has a new owner.

It was sold yesterday for \$2.23 million to a local contractor in a frenzied auction that lasted 12 minutes.

The auction held by real estate agency Knight Frank was made on behalf of the Public Trustee's Office, which comes under the Ministry of Law.

The Government took over the ownership of the abandoned house in 2015, after it had remained in a dilapidated state for about 10 years.

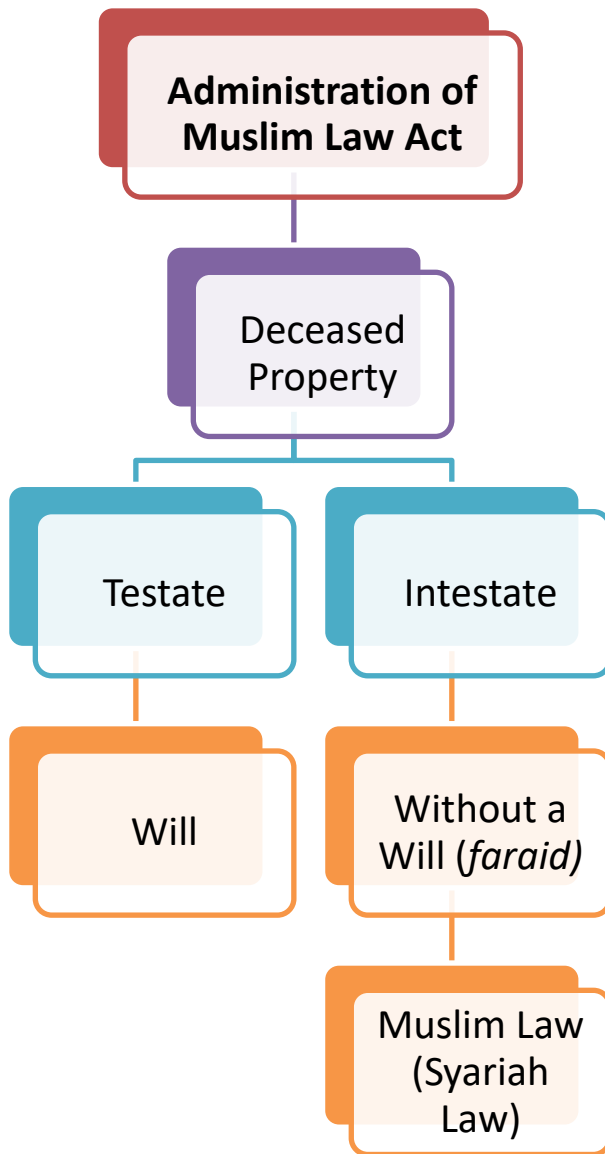


Mr Goh Tee Kia after he won the auction for the terraced house (above). TNP PHOTOS: ONG WEE JIN, ALVIN HO



The house's last two known residents - Ms Pearl Tan, a retired civil servant, and her sister Ruhv -

Succession – Singapore Citizen Muslims



SC Muslim can create a will and distribute his/her asset in accordance to Muslim Law (S111, 112 of Administration of Muslim Law Act)

- Applicable to Muslim woman (S118, 119 & 120 AMLA)
- Grant of Probate or Letter of Administration required
- Syariah Court → **Inheritance Certificate**

Note:

Deceased may only will away up to maximum **one third** of his estate to **non faraid** beneficiary (non spouse and relatives)

Faraid does not apply on the following:

1. Jointly-owned property registered under the Land Titles Act.

Right of survivorship applies

→ *Shafeeg bin Salim Talib v Fatimah bte Abud*

2. CPF money nominated → Nominee
CPF money without nomination → Muslim Law distribution

Succession – Singapore Citizen Muslims

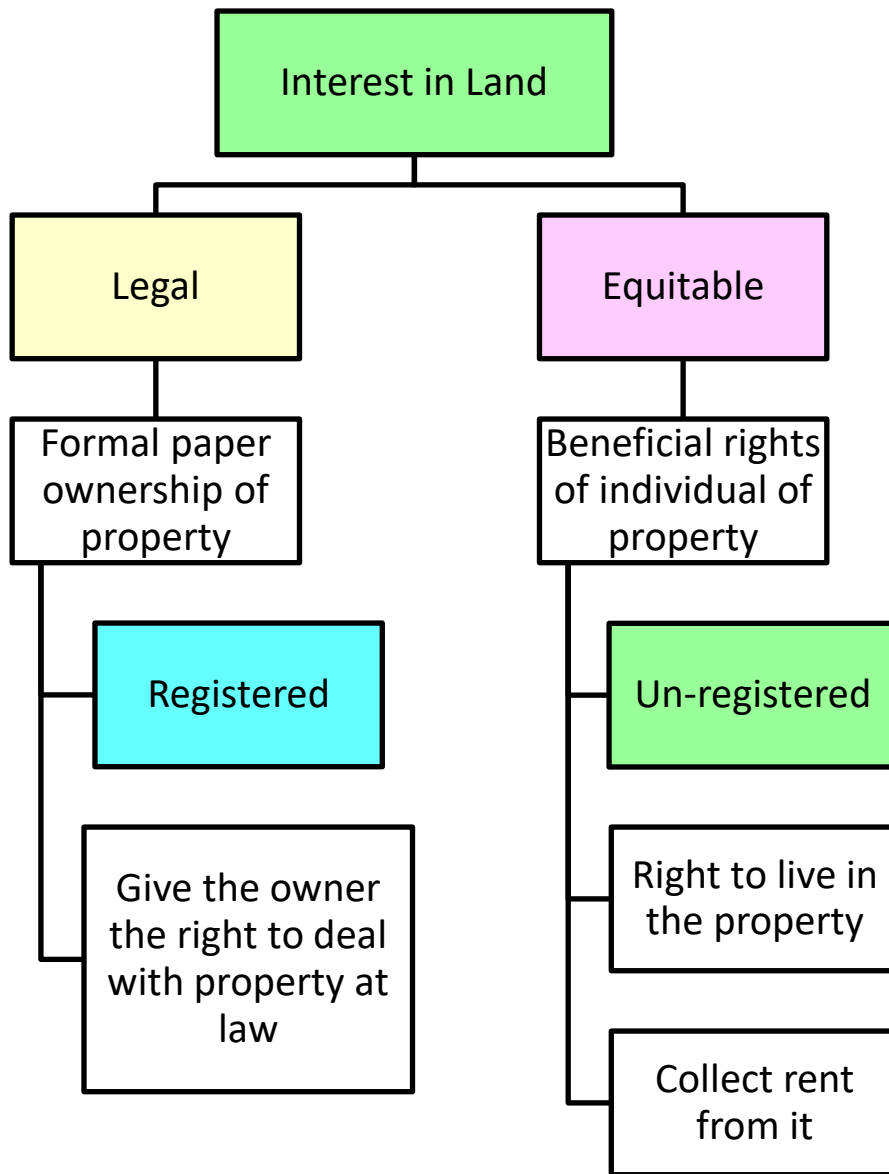


SURVIVOR	ABSENT	WHO GETS WHAT
SPOUSE	Children , Parents	Spouse gets Everything if one or more than equal shares amongs
Children	Spouse	Children with same sex gets equal shares otherwise Male gets double than the female
Spouse , Parents	Children	Spouse(s) gets maximum of 1/4 , and Parents will get max 3/4th share If Both parents present then Father gets 1/2 & Mother gets 1/4
Parents	Spouse, Children	Parents gets everything if both present (Father gets double than Mother)
Brothers and Sisters	Spouse, Children,Parents	Brothers gets double than Sisters
GrandParents	Spouse,Chidren,Parents,Brothers and Sisters	Mother's Father Not Eligible , Grand Father gets 5/6 and Grand Mothers share the remaining 1/6 i.e 1/12 each
Uncle and Aunts	Spouse,Chidren,Parents,Siblings, Grand Parents	only Paternal Brother , i.e Uncle gets every thing Fathers Sister Aunt Never get any share

Legal and Equitable Ownership of Land

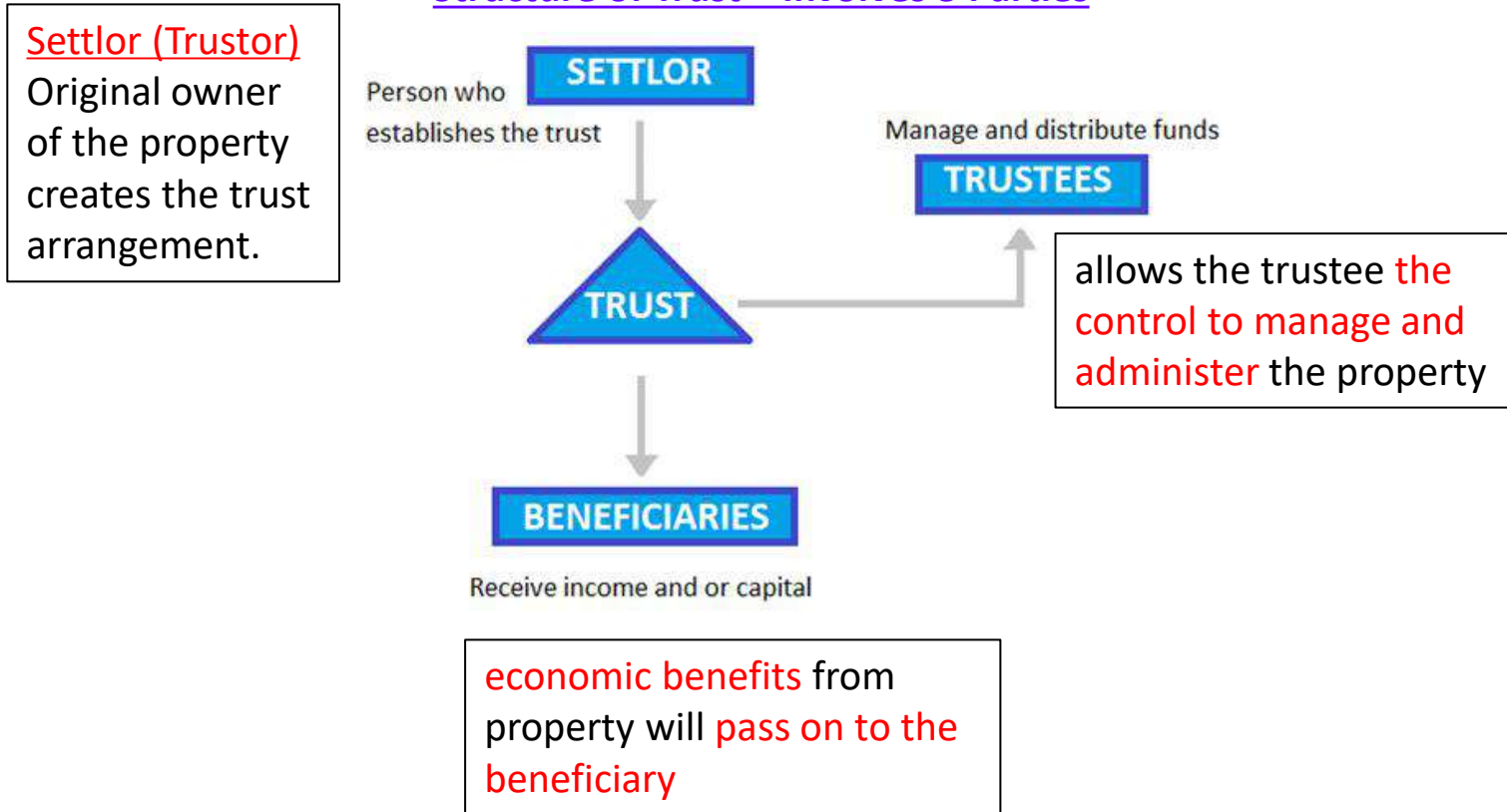
Note:

1. A **legal interest** is enforceable against the whole world
2. An **equitable interest** is enforceable against the whole world **except** for the **bona fide purchaser** for value without notice.



Alienation → Trust Laws (Common Laws & Trustee Act)

Structure of Trust – Involves 3 Parties

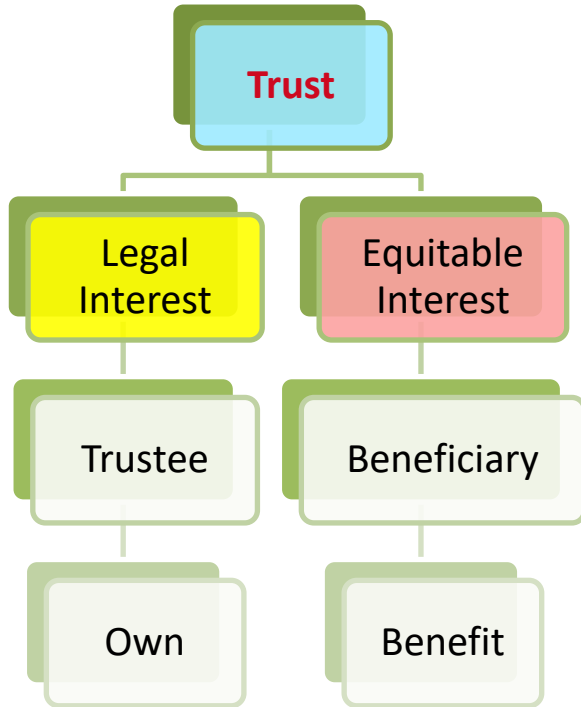


Trust arrangement divided the ownership of a property between **Trustee & Beneficiary**.

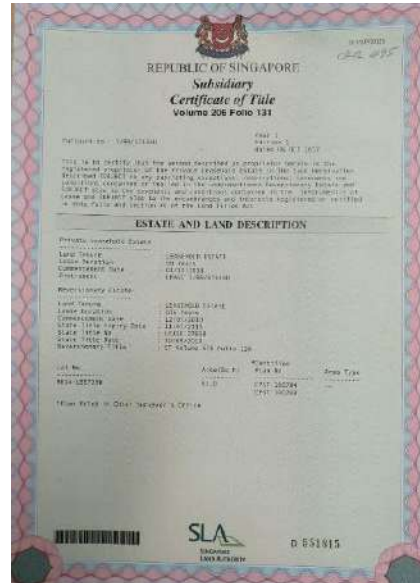
Process to create a Trust:

1. Settlor → Lawyer → Trust Deed (Deed of Settlement) → Legal Power to Trustee
2. Transfer of Title → SLA
3. **Maximum 4 Trustees (Trustees Act)**

Structure of Trust



Who is the Owner ?



Elements of a Trust → Valid

1. Certainty of Intention

- intention of the settlor to create the trust must be certain

2. Certainty of Subject Property

- identity of the trust property must be certain

3. Certainty of Object

- certainty as to the persons or 'objects' who are intended to benefit

A property held on trust whom:

- Trustee** holds the **legal title** of the trust property
- Beneficiary** has **equitable interest** in the trust property

Trust – Singapore Citizens and Foreigner

Residential Property Act

- **Singapore Citizens** are not allowed to hold **restricted** property in **Trust** for any **Foreigner**.
- ** Later lesson will further illustrate on restricted property

Example

A bungalow owns under a **Singapore Citizens** Trustee and **Foreigner** Beneficiary



General Purposes of Trust

1. Succession and Estate Planning
2. Wealth Protection
3. Family Wealth Planning
4. Confidentiality



Duties of Trustee

A Trustee has **fiduciary** and **statutory** duties

Trustee Act and common law stipulate a minimum standard trustees must adhere to:

1. **statutory duty to exercise reasonable care and skill** in the discharge of his powers
2. to exercise his discretion properly and
3. to abide by the directions of the trust deed

Generally, a trustee is subject to the following duties:

- duty to observe the terms of the trust
- **duty to act impartially between the beneficiaries**
- **duty to exercise reasonable care**
- **duty not to profit from the trust**
- duty to act personally
- duty to act unanimously
- duty to disclose information and
- duty to furnish accounts

Failure of a trustee to perform a duty constitutes a breach of trust.

Breach of Trustee Duties

1. Breach of Trust → Trustee is liable to **compensate beneficiary**
2. Criminal Breach Of Trust → S405 Penal Code → Jail Term



Church leaders sentenced

Kong Hee, 51

Who: City Harvest Church (CHC) founder and senior pastor

Guilty of: Three counts of criminal breach of trust (CBT)



Jail sentence:
8 years

Chew Eng Han, 55

Who: Former CHC fund manager

Guilty of: Six counts of CBT, four counts of falsifying accounts



Jail sentence:
6 years

Tan Ye Peng, 43

Who: CHC deputy senior pastor

Guilty of: Six counts of CBT, four counts of falsifying accounts



Jail sentence:
5½ years

Serina Wee, 38

Who: Former CHC finance manager

Guilty of: Six counts of CBT, four counts of falsifying accounts



Jail sentence:
5 years

John Lam, 47

Who: Former CHC finance committee member

Guilty of: Three counts of CBT



Jail sentence:
3 years

Sharon Tan, 40

Who: CHC finance manager

Guilty of: Three counts of CBT, four counts of falsifying accounts



Jail sentence:
21 months

ST PHOTOS: KEVIN LIM ST GRAPHICS

Breach of Trustee Duties

3. Beneficiary is entitled to enforce the trustee's obligations.

4. Trustees can be removed in the following:

A. S37(1) Trustee Act → Court remove current trustee and appoints new trustee due to:

Current trustee is:

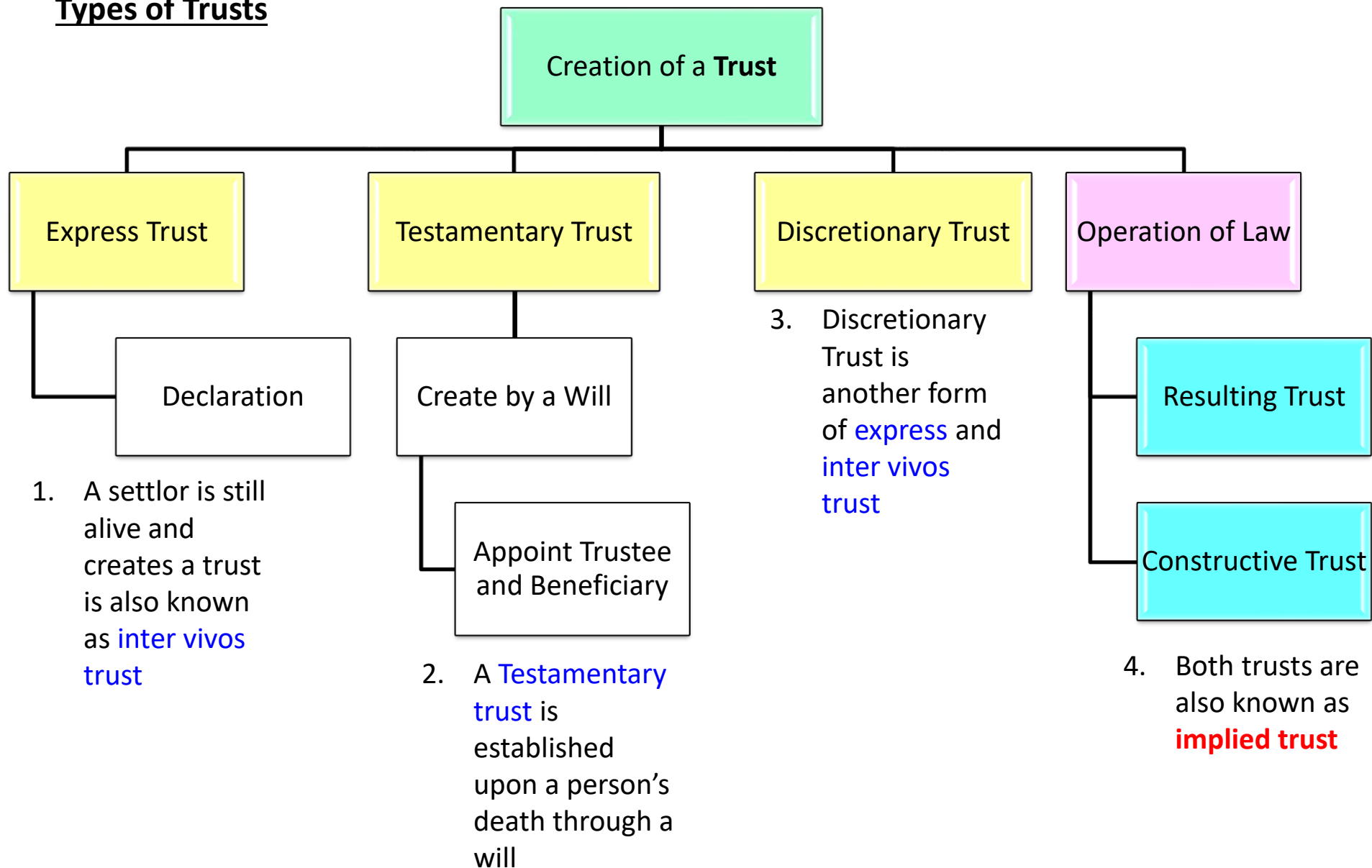
- i. dead
- ii. remains out of Singapore for more than 12 months
- iii. desires to be discharged from the trusts
- iv. refuses or is unfit to act on the trusts
- v. is incapable of acting as trustee

B. S37(2) Trustee Act → Trustee fails to perform duties:

- i. imposed by law or
- ii. as stated in the trust deed.

Appointer of Trustee or Beneficiary apply removal clause of trust deed (express power)

Types of Trusts



Los Angeles Times

Warren Buffett to give away \$3.6 billion to Bill & Melinda Gates Foundation, 4 other charities



Warren Buffett speaks during the Forbes Media Centennial Celebration in New York City on Sept. 19, 2017. (J. Countess / Getty Images)

By KATHERINE CHIGLINSKY, TOM METCALF

JULY 1, 2019 | 8:26 AM

BLOOMBERG

[Warren Buffett](#) said Monday he plans to [donate](#) \$3.6 billion of Berkshire Hathaway Inc. stock to five charities — one of his largest gifts ever.

1. Discretionary Trust is similar like a normal trust arrangement.
2. A discretionary trustee is granted the power to exercise discretion over the assets, benefits and entitlements to the beneficiary.

Woman sues grandkids for trying to sell HDB flat



1 of 2 Madam Tan says she paid more than \$117,000 for the flat she has lived in for decades. She disputes her granddaughters' claim to it, saying that they were only holding it in trust for her. The property was bought in 1990 under her son's name, and his daughters inherited it after he died in 2009. ST PHOTO: CHEW SENG KIM

PUBLISHED MAY 20, 2016, 5:00 AM SGT

A resulting trust is the creation of an **implied trust by operation of law.**

1. where property is **transferred** to **someone** who **pays nothing for it !!!**
2. and then is implied to have **held** the property for **benefit of person who pays for it.**

Judge orders \$7m house be returned to dead-sibling's estate

Judge rules that house belongs to estate of one sibling instead of family company

K C VIJAYAN, SENIOR LAW CORRESPONDENT
© Apr 05, 2018 06:00 am



A fight over a \$7 million house in which the judge expressed suspicion that a 97-year-old widow had been coached to testify for one side ended in favour of the other.

The High Court ruled the 9,708 sq ft Glasgow Road property in Serangoon, though registered in the name of the family company, belonged to the estate of one sibling, Mr Tan Tiong Luu, who had died in 2012.

His widow had claimed the house, which Mr Tan had bequeathed her in his will.

Mr Tan's siblings, however, contended that their father had intended the house for all of them to share.



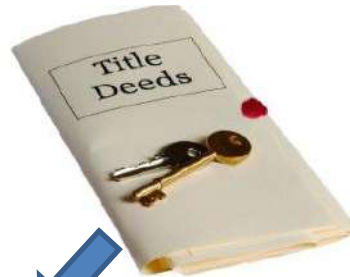
Judge Pang Kheng Chau ordered the house at Glasgow Road to be returned to the estate of one sibling after assessing the overall evidence. TNP PHOTO: LEE JIA WEN

1. Court imposed Constructive Trusts when someone has **wrongfully acquire / hold the property** of another person. **(Unjustified)**
2. Constructive Trust is declared by equitable principles.
3. Purpose: Benefit a party that has been **wrongfully deprived of such rights**

Singapore Court Case: Koh Ai Gek and another v Geok Hong Co Pte Ltd [2018] SGHC



Company holds Title Deed in 1970s



Husband – Director
Died in 2012



Family House since 1970s

Board of Directors
(Siblings of Tan)



Claims

\$7m house legally belongs to firm, not buyer's son: Top court



The High Court had ruled in April last year that the 9,708sq ft Glasgow Road property, though registered in the name of family-owned Geok Hong Company, belonged to the estate of one sibling, Mr Tan Tiong Luu. ST FILE PHOTO

PUBLISHED MAR 4, 2019, 5:00 AM SGT



K.C. Vijayan Senior Law Correspondent

A property worth more than \$7 million changed hands when an appeal court ruled it belonged to a family-owned company instead of only one of the children as found by the High Court last year.

The man had argued earlier that his father had bought the house for him but registered it in the company's name so that it would not go to his wife in the event of a divorce.

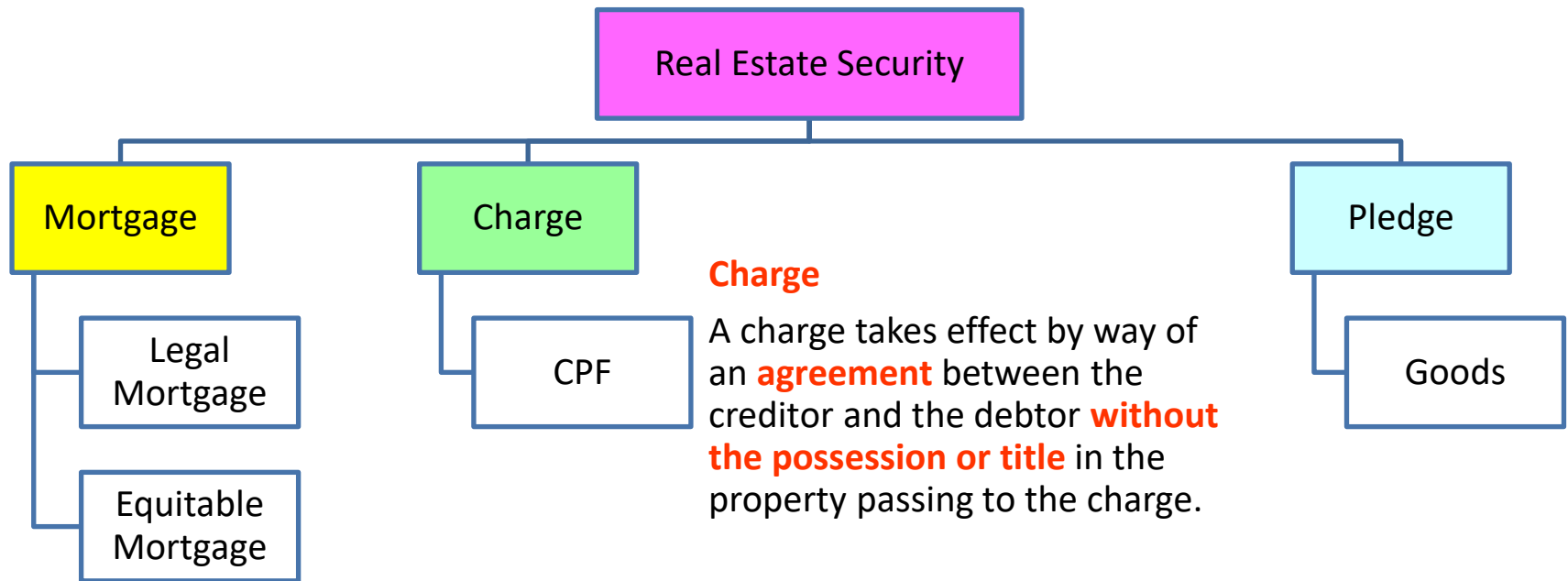
But the Court of Appeal last Thursday allowed the appeal by Geok Hong Company as it

Singapore Court Case:

Geok Hong Co Pte Ltd [2019] appeals and win against Constructive Trust ruling

What is a Security ?

Security (interests) is any asset obtained by a **creditor** from the **debtor** to ensure repayment of debt



Mortgage

Mortgagor **transfers / passes** the title deed of property to the mortgagee with promise by the lender to return title when the debt is fully paid up

Mortgagee = Bank

Mortgagor = Borrower (Owner of Property)

Selling Price

- Outstanding Loan

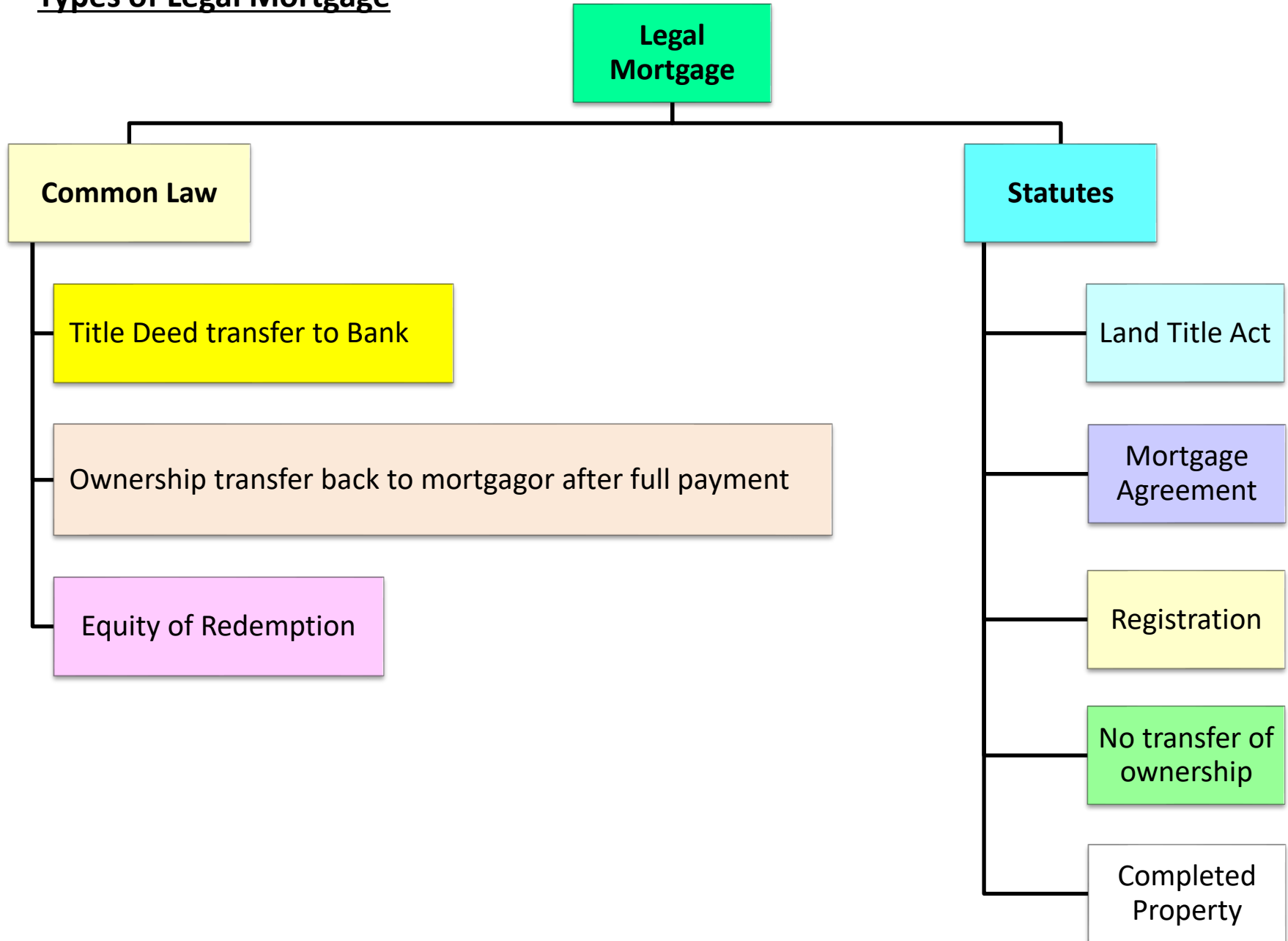
- CPF Proceeds

Sales / Cash Proceeds

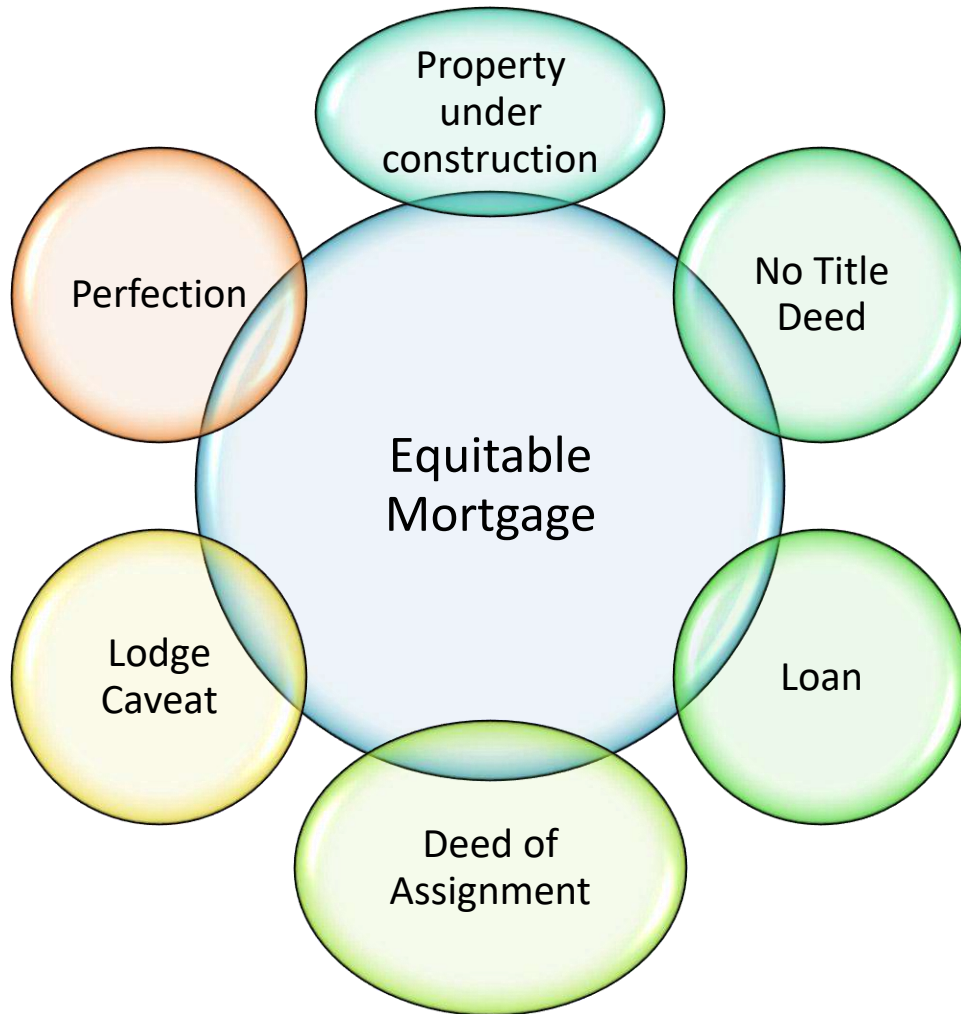
Pledge (Mortgage over chattels)

This type of mortgage involves the transfer of ownership (**possession**) of goods to creditors till debts are paid up. Such mortgage can be legal or equitable.

Types of Legal Mortgage



Equitable Mortgage



In law, **perfection** relates to the additional steps required to be taken in relation to a security interest in order to make it effective against third parties.

E.g. Lodge caveats, register upon ready title

Rights of Mortgagor & Mortgagee

Rights of Mortgagor

1. Remain registered proprietor of property
2. Right to possess and occupy (unless default payment)
3. Right to lease property with mortgagee consent
4. Right to repay loan and discharge from mortgage

Rights of Mortgagee **

1. Sue the Mortgagor for debt
2. Entry into Possession
3. Right to sell the property without a court order
4. Right to appoint a receiver
5. Right of foreclosure (*i.e.* bank repossesses the property, bank must give 3 month notice)

Priority of Mortgagee

1. A property can be mortgaged to more than one party.
2. Ranked differently (e.g. different priorities) as follows:
 - A) Legal mortgage has priority over equitable mortgage
 - B) Mortgagee who registers first (date of registration) has priority over subsequent mortgagees

What is an Easement ?

1. A right **annexed** to land to **utilize** other land of different ownership in a particular manner
→ **A right to use someone's land (property)**
2. **Non-Possessory Right(s)** to use someone's land
3. **Not Personal Rights** that anyone can use
4. Easement **runs with the land**

Example

- A. Right of Way
- B. Right of Support
- C. Right of Light
- D. Right of Flow of water or air

Example 1 - Right of Way



Example 2



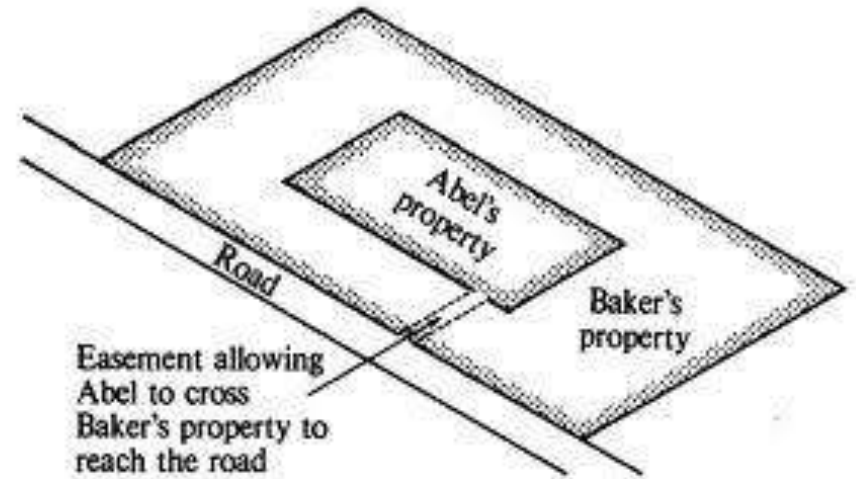
Other Examples of Right of Way

Example 3

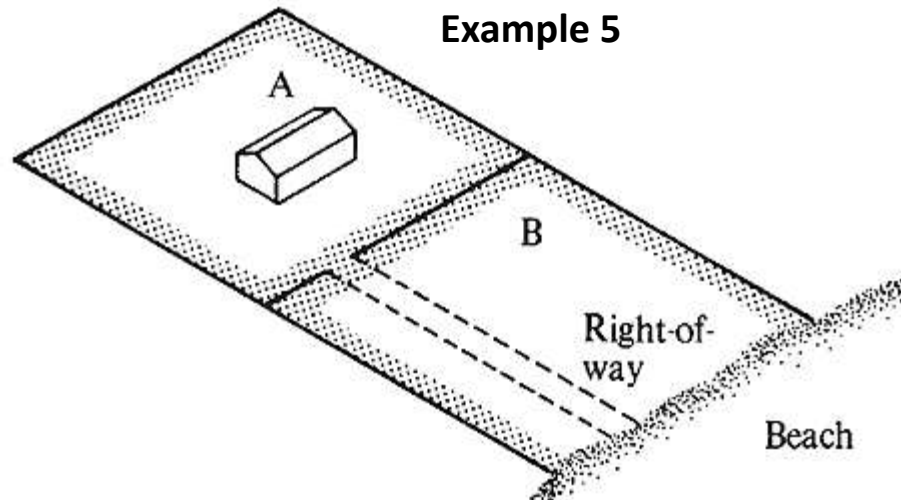


Right of Way

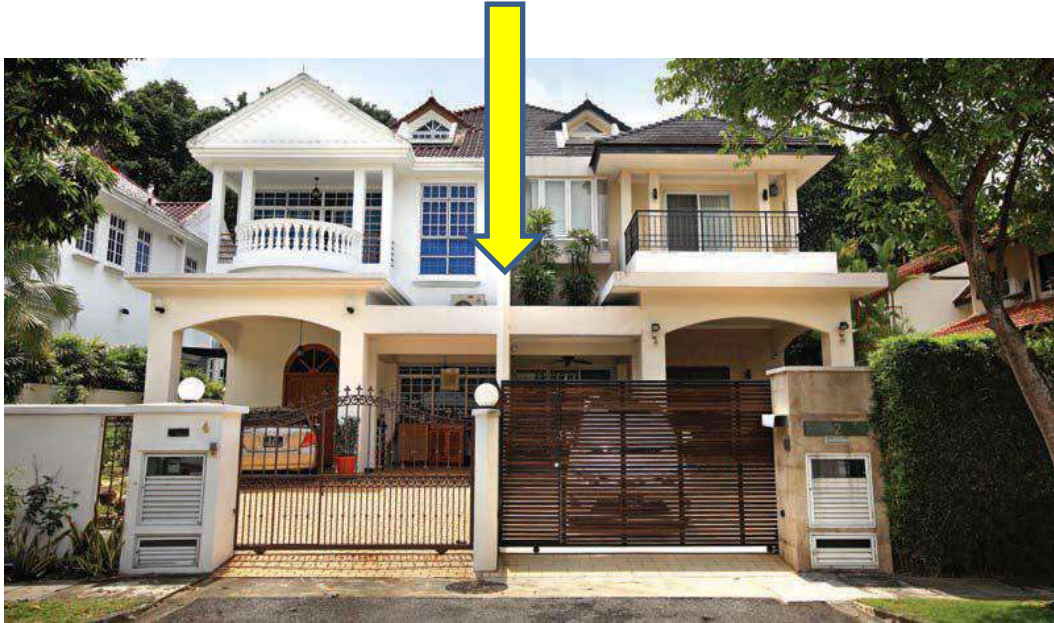
Example 4



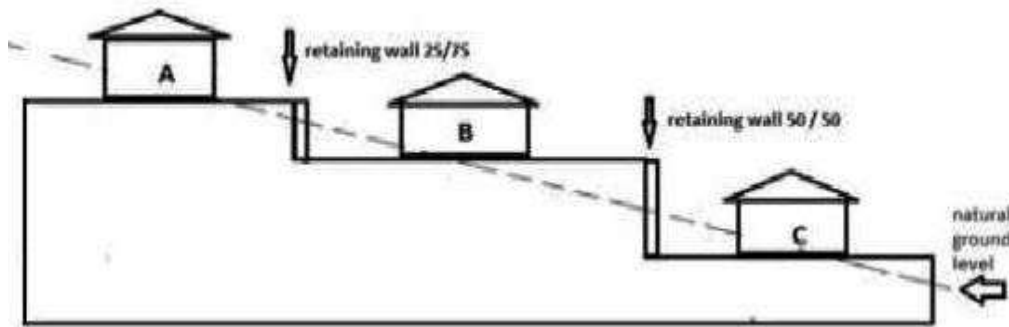
Example 5



Example 6 - Right of Support

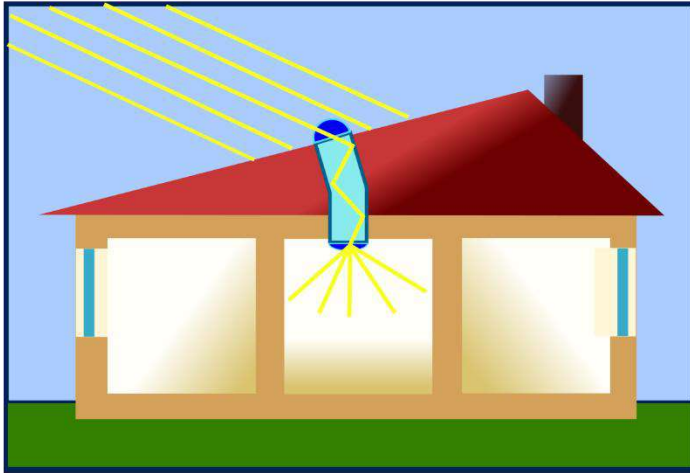


Example 7 - Right of Support



Type of Easement

Example 8 - Right of Light

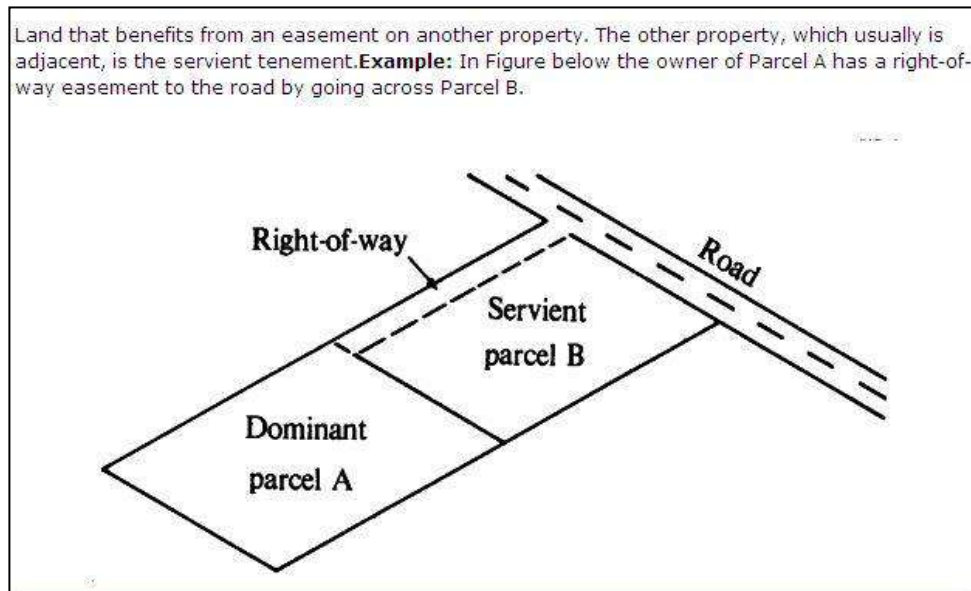


Example 8 - Right of Water Flow



Characteristic of Easement

1. There must be a **Dominant** and **Servient** tenement.
 - 2 separate land
2. An easement must accommodate the dominant tenement
 - Dominant owner enjoys the benefits of right (separate from dominant tenement)
 - Servient owner grants and bears the burden of rights
3. Dominant and Servient owners must be **different persons**
4. A right over land cannot be amount to an easement unless it is capable of forming the subject matter of the grant.



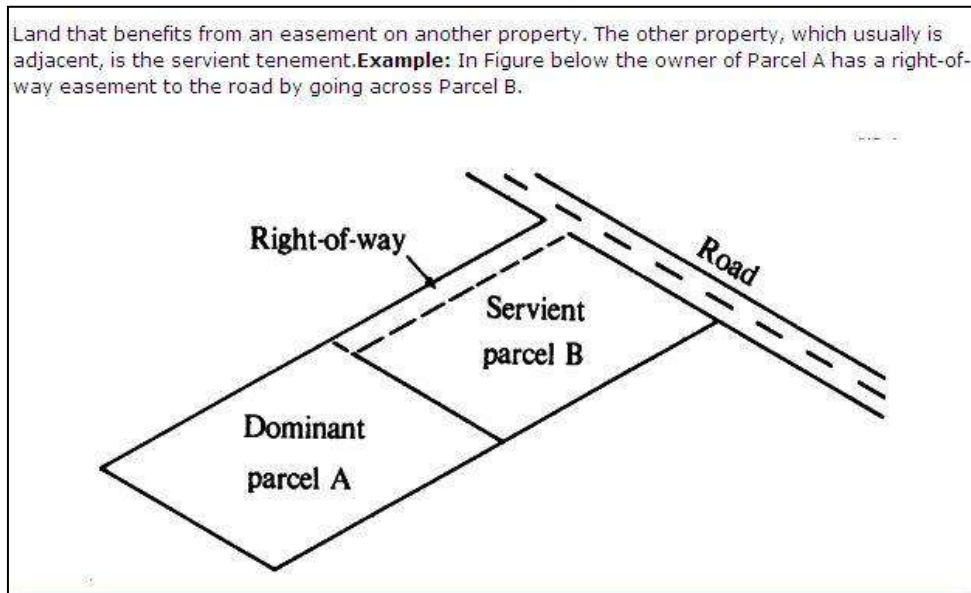
Characteristic of Easement

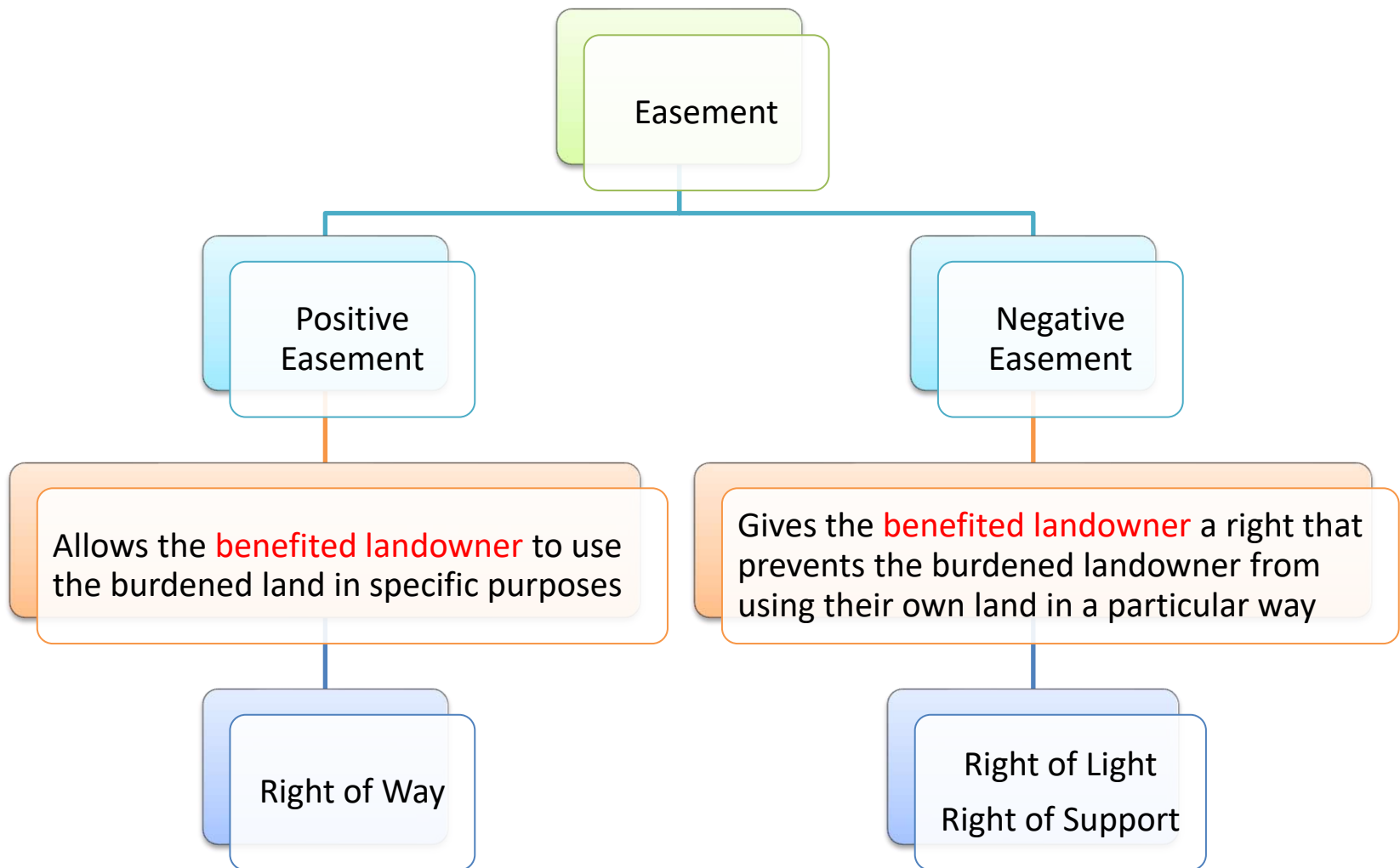
What is the meaning of this sentence ?

“A right over land cannot be amount to an easement unless it is **capable** of forming the subject matter of the grant.”

Answers:

1. Person must have the legal capability to grant easement
2. Easement must be sufficient and certain
3. Right recognised by Court

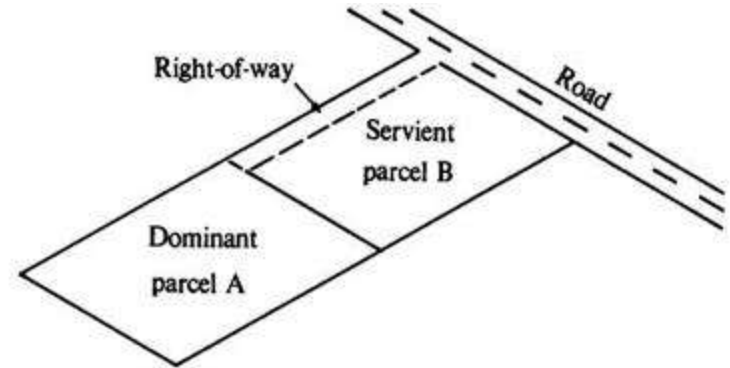




Creation of Easement

1. **Registration** → Legal Interests (S97 Land Title Act)

- Instrument of grant
- Instrument of transfer
- Instrument of lease



2. Court to Create Easement (S97A Land Title Act)

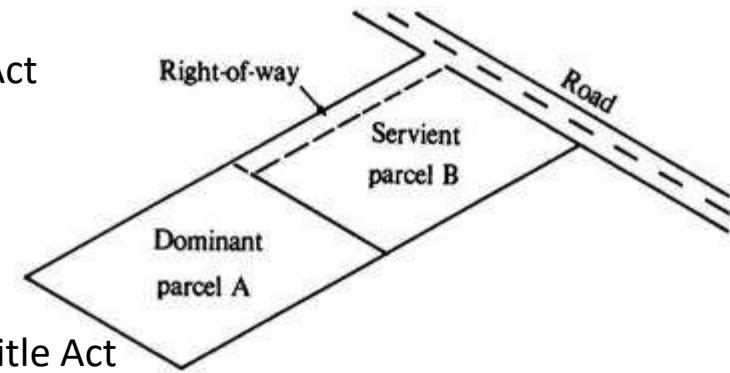
3. **Implied Easement** (S98, S99 Land Title Act and S3C State Land Act)

- Usually is a **Statutory Easement**
- Implied easements for passage of water, electricity, drainage, gas and sewerage for development (Land Title Act, Land Title Strata Act, State Land Act)
- Implied easements for right of way and other rights shown in subdivision plan (Land Title Act)
- Easement of subjacent support (State Land Act)
- Easement of Support / Shelter (Land Title Strata Act)

Extinguishment of Easement

1. Unification of ownership (**Amalgamation**) – S100 Land Title Act

- **Dominant** and **Servient** tenement is **same owner**
- Indicate in the instrument and register to SLA
- Registrar aware and cancel easement



2. **Express Agreement** from **Dominant** Tenement – S101 Land Title Act

- A sale on dominant tenement contained easement shall not pass to next owner
- Such sale shall release easement

3. Express Release – S105 Land Title Act

- **Voluntary** release by executing instrument to SLA

4. Power of Court – S105A Land Title Act

- Application of servient owner to extinguish or varied easement

5. **Abandonment** – S106 Land Title Act

- Non-usage of easement for a period **exceeding 12 years**

6. **Expiry** of Easement – S106 Land Title Act

- Typical easement created for a period of time only
- Special agreement to end easement on certain period of time
- Registrar cancel easement based on evidence.

Case Study: 40 Years of Easement Dispute

SINGAPORE

Appeals court rejects suit against Grange Heights

Bitter 40-year tussle with developer raises significant legal issues, say judges



1 of 2 The dispute began in 1974 when Lee Tat's predecessor, Collin Development, sought a court declaration that Hong Leong Holdings, the developer of Grange Heights, had no right of way across a 883 sq m strip of land for access to Grange Road. PHOTO: LIANHE ZAOBAO



Covenants

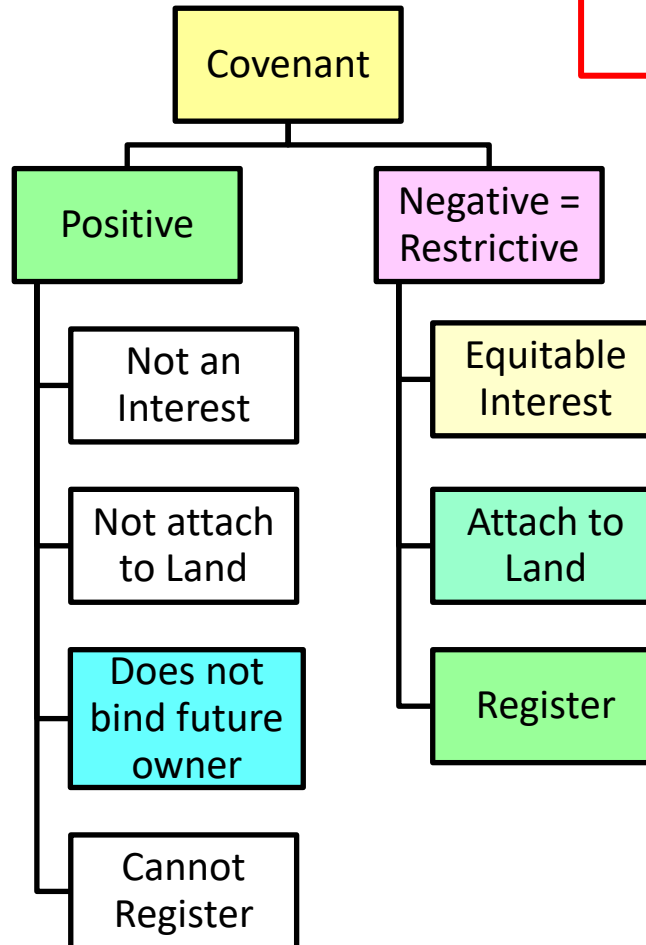
1. Covenant is a Promise
2. Created by legal contract made under a seal.
3. **Covenantor** (**servient** tenement) is person making the promise while **Covenantee** (**dominant** tenement) is person enjoying the benefits of promises.

Restrictive Covenants

1. Promise made by previous or current owners which attached to land
2. Bind anyone owns it even though the new owner may not have made such contract.

Example of Restrictive Covenants

1. Not to build of any building without the written consent.
2. Not to use any house other than as a private dwelling house
3. Not to use such house for any business purpose.
4. No signboards shall be displayed except the house number, name of occupier & the street



Example - Positive Covenant

1. owner maintaining the road shared with neighbour
2. Repair shared roof

Note:

Most restrictive covenants created at common law are obsolete / superseded by regulatory laws.

Characteristic of Restrictive Covenants

How do you know if a promise is a restrictive covenants ?

1. Promises must be restrictive in nature
2. Clearly identify covenantor and covenantee owner
3. Covenantee benefits
4. Restriction relates only to the use of land



Leicester Square in London

Restrictive Covenants (under Land Title Act)

1. Restrictive Covenant is an **equitable** interest.
2. Life span of **20 years**, not enforceable if not extended
3. Can be extended for another **10 years**

Note:

Under Common Law, Restrictive Covenants **runs with land**

PREMIUM

Modern home upsets neighbours in Tudor-style Toh Tuck estate

Was a restrictive covenant imposed in this house ?



Dr Michael Teo's flat-roofed corner terrace house in Greenridge Crescent stands out among the more than 70 Tudor-style homes that were built in the 1980s. ST PHOTO: BENJAMIN SEETOR

🕒 PUBLISHED MAR 31, 2018, 5:00 AM SGT

Extinguishment of Restrictive Covenants

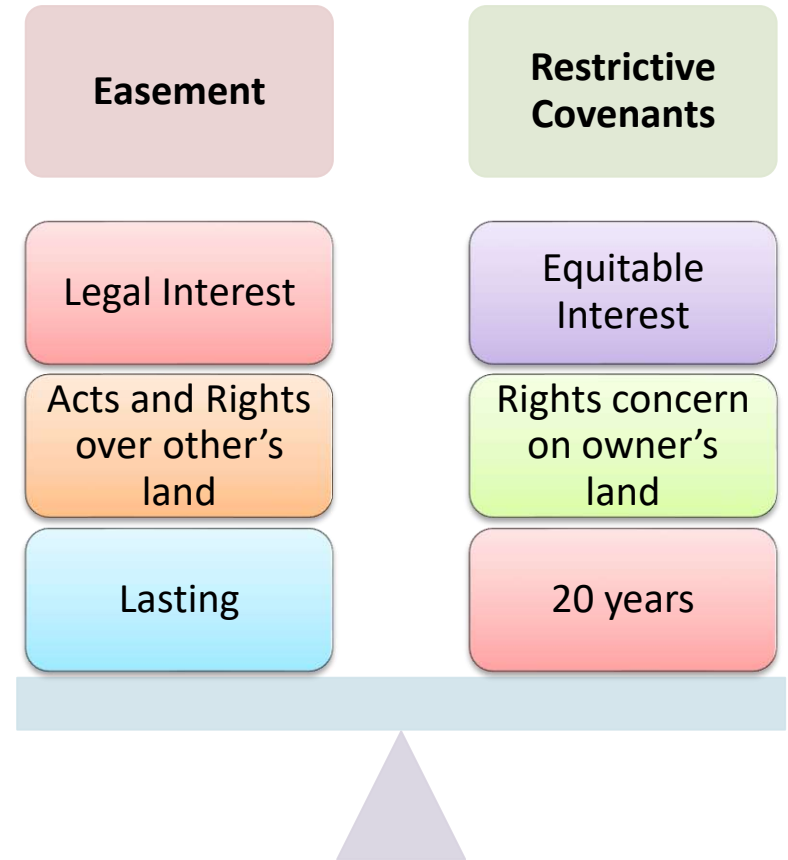
1. **Expiry**
2. **Unification of ownership** of dominant & servient tenement - covenant becomes unenforceable.
3. **Release** - owner of dominant tenement executing an instrument to release the servient tenement of the burden of the restriction.
4. **Variation or Discharge by Courts**

Court order based on grounds:

- a) If a change of use of the land as approved by the URA - that the continued existence of the restriction will impede the development of the land for public or private purposes.
- b) That the proposed extinguishment or variation will not materially injure the person entitled to the benefit of the restriction.

5. Court cannot remove State Covenants

Difference between Easement and Restrictive Covenants



Caveat

1. What is a caveat ?

- A legal document
- A caveat is a **caution or warning** to the person conducting **Title Search (INLIS)**
- **Notify** about **someone** is claiming an interest in the property.
- Serves as a **statutory injunction** to forbid the Registrar to register any transfer or disposition of interests in the property unless the **caveator** consents.

2. Who can lodge a caveat ?

- Person who lodges a caveat is known as **caveator**
- Has **interests** in the **property** in law or equity.
- A person who has interests in land which is un-registrable or pending registration

Note: Property owner whose property has a caveat lodged against is known as **caveatee**.

Example

1. Beneficiary's interest under a trust.
2. Buyer's equitable interest upon entering into a contract.
3. Bank's interest pending the issue of legal title to the mortgagor

Note:

1. *Estate agent's commission entitlement is not a caveatable interest.*
2. *Moneylender cannot lodge caveat against HDB flat*

3. Lodge a caveat without merits ?

Property owner can **sue a caveator** and he/she may be liable to **pay damages for any loss suffered**

Where is the place to lodge a caveat ?

How to lodge a caveat ?

Singapore Land Authority

IMPORTANT NOTICE

The information contained in this instrument forms part of the public records available for inspection and search by members of the public upon payment of a fee. The information is collected and used for the purpose of maintaining the land register pursuant to the Land Titles Act.

This form may take you 5 minutes to fill in.

CV Form 49 Ver 3

THE LAND TITLES ACT

(For Official use only)

CAVEAT (without plan annexed)

(A) DESCRIPTION OF LAND

If title document is a lease, please cancel the Vol and Fol No and simply state the Lease No.

*CT/SSCT/SCT		MK	TS	Whole or part lot (if part lot to state appd new lot no or strata lot no)	Property Address
Vol	Fol				

* Please delete what is not applicable

(B) CAVEATOR

If more than ONE caveator, please refer to explanatory notes.

ID / Co regn no	
Name	
#Citizenship / Place of Incorporation	
#Non-Citizens	* Permanent Resident / Non-Permanent Resident
Address (within Singapore for service of notice)	

Required for a Caveator who is a purchaser / sub-purchaser

* Please delete what is not applicable



YOU, ME AND A CAVEAT



For more information, visit www.sla.gov.sg or call us at 1800-6323-9829

Removal of Caveat

1. Withdrawal

- A caveat may be **withdrawn** by the caveator.
E.g. Completion of sale, full redemption of loan etc.

2. Expiry

- **5 years**
 - If **not withdrawn**, it expires after **5 years** from the date of lodgement
- Note:** Caveat can be **renewed** for a period of **5 years**

3. Cancellation

4. Court Order

- Removed on a successful application by a person claiming an interest in the property.

Types of Caveat

- A. Private Caveat
- B. Registrar Caveat

Appendix A

Putting what you learned into practice

Adam bought an agriculture land in Lim Chu Kang through a tender from the Singapore government. During the construction of a farm building on that land, he had discovered what seemed to be pieces of water-smoothed glass material underneath this land. Curious on his findings, Adam engaged a geologist Ravi, to verify this material. Upon further inspection, Ravi confirmed this material as raw diamonds.

Hence, Adam decided not to build a farm but organising a mining operation instead.

Furthermore, he had discovered a 10 metre long small stream of river within his land boundary that this river connects to Sungei Buloh River. Watching from far, Adam saw some teenagers to go fishing in this river attracted. He approached and charged each of them \$10 for fishing.

In the meantime, Ravi leaked the news of diamonds discovered in Lim Chu Kang to his best friend, David. To collect pictures of this information, David proceeded to fly his remote controlled drone into Adam's land to take some pictures.

Discuss all possible legal issues involved (inclusive of previous lessons) related to above scenario

Putting what you learned into practice - Answers

How do tell if Adam has bought an agriculture land in Lim Chu Kang ?

Master Plan

He secured it through tender from Singapore government. What is likely this tender also known as ?

GLS

Can Adam conduct a mining operation ?

No, he don't have mineral rights.

Did the teenagers committed any offences ?

Trespassing

Was David trespassing Adam's property ?

Physically – No

Drone → Maybe